

FINANCE TEAMS / EVIDENCE / DECISIONS

Finance English

Explain the numbers. Preserve the assumptions. Make the next step clear.



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Eight scenarios. Eight extended conversations.

INSIDE THE BOOK

192 vocabulary entries / 128 reusable phrases

160 dialogue turns / 80 numbered dialogue gaps

Word banks and explained answer keys

Upper-intermediate to advanced (B2-C1). For accounting, financial planning, treasury, investment, credit, audit, and corporate-finance professionals.

2026 edition

Eight scenarios. Eight skills.

Move from a headline number to its basis, drivers, uncertainty, and decision.

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A number needs its basis.

Finance conversations connect measurements to decisions. The same number can mean different things when its period, currency, comparison, fee treatment, or approval status changes. These fictional cases practice the language that keeps those distinctions visible.

Name the comparison

Above budget, up on last year, and ahead of the previous forecast are different claims. State the period and comparison before explaining the movement.

"Revenue is 5% above this month's budget, not 5% above last year."

Separate result from estimate

An actual result, an updated forecast, and a sensitivity calculation carry different kinds of certainty. Name the status and the important assumptions.

"The cash balance is forecast on the assumption that the customer pays Friday."

Explain the unit

Distinguish dollars, percentages, percentage points, and basis points. Identify the denominator when quoting a ratio and do not hide a change in calculation basis.

"The return difference is one percentage point, before the stated fee adjustment."

Match the claim to the review

A balanced reconciliation, a reviewed assumption, and an approved decision are separate accomplishments. Report what is complete and what still needs evidence or authorization.

"The difference is identified; the correcting entry is not yet approved."

PROFESSIONAL BOUNDARIES

Fictional English-language practice, not investment, lending, accounting, tax, or legal advice. Definitions are concise teaching descriptions. Actual treatments and decisions require current standards, governing documents, firm policies, and qualified review. No product or transaction is recommended.

Revenue is ahead, but profit is behind

A Read the situation

Explain opposing financial movements using the same period, comparison, and calculation basis.

For the month, budgeted revenue was \$1,000,000 and operating costs were \$800,000. Actual revenue was \$1,050,000 and operating costs were \$854,000. The cost increase comprises \$30,000 in freight and \$24,000 in agency labor. The analyst has verified those categories but has not separated rate and volume effects or assessed recurrence. Lena, the analyst, and Amir, the finance director, are preparing a concise management-review explanation. All figures use the same currency and reporting scope.

PEOPLE / Lena: Finance analyst | Amir: Finance director

ANSWER THE APPARENT CONTRADICTION

A manager may interrupt with "How can sales be up and profit down?" Treat this as a request to connect the figures, not necessarily a personal challenge. Give the comparison and the offsetting movement first, then separate established categories from causes still being tested.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is actual operating profit in this case?

A \$250,000

B \$54,000

C \$196,000

D \$200,000

2. How much did costs exceed budget?

A \$24,000

B \$54,000

C \$50,000

D \$4,000

3. Which question remains unresolved?

A How much of the cost increase reflects rate versus volume

B Whether revenue is \$1,050,000

C Whether the comparison uses the same month

D Whether the two cost categories total \$54,000

[Answers and explanations: page 76.](#)

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

revenue

Income recognized from the business's goods or services under the relevant basis.

IN USE report recognized revenue

operating cost

A cost included in the stated measure of operating activity.

IN USE analyze operating costs

operating profit

Revenue less the operating costs included in the stated presentation.

IN USE explain operating profit

gross profit

Revenue less the specified cost of goods or services sold.

IN USE distinguish gross from operating profit

net income

Profit after the expenses and other items in the applicable presentation.

IN USE reconcile net income

variance

A difference between a result and its stated comparator.

IN USE explain a budget variance

driver

A factor contributing to a financial movement.

IN USE isolate the main driver

offset

A movement that counteracts another movement.

IN USE quantify the cost offset

favorable

Beneficial against the specified comparison or objective.

IN USE label a favorable variance

unfavorable

Adverse against the specified comparison or objective.

IN USE explain an unfavorable variance

price effect

The portion of a movement attributed to selling-price changes.

IN USE separate the price effect

volume effect

The portion attributed to a change in quantities.

IN USE estimate the volume effect

Precision check

Revenue is 5% above budget: \$50,000 divided by \$1,000,000. Operating profit is 2% below budget: a \$4,000 decline from \$200,000 to \$196,000. The percentages use different denominators and must not be subtracted to explain profit.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

mix effect

The impact of a change in the composition of sales or activity.

IN USE analyze the product-mix effect

rate effect

The portion attributed to a change in a cost or other unit rate.

IN USE separate rate from volume

recurring

Expected to arise repeatedly under the relevant conditions.

IN USE identify recurring costs

one-off

An item described as unusual or nonrecurring, subject to support.

IN USE challenge a one-off classification

run rate

A projected pace based on selected current activity.

IN USE qualify the implied run rate

materiality

Significance assessed in context, not solely by an arbitrary percentage.

IN USE assess quantitative and qualitative materiality

assumption

An input or premise used without treating it as an established outcome.

IN USE state the underlying assumption

operating margin

Operating profit divided by revenue on the specified basis.

IN USE explain operating-margin movement

percentage point

One unit of difference between percentage values.

IN USE report a percentage-point change

basis point

One hundredth of a percentage point.

IN USE express a movement in basis points

like-for-like

Compared on a sufficiently consistent scope and basis.

IN USE establish a like-for-like comparison

management commentary

Explanation accompanying reported financial information.

IN USE sharpen management commentary

Precision check

Freight and agency labor explain where the \$54,000 cost increase sits. They do not, by themselves, establish whether higher rates, greater activity, or a temporary issue caused it. A category bridge and a causal explanation are related but different.

Phrases you can actually use

C Notice the language / 1 of 2

LEAD WITH THE CONTRAST

"Revenue is above budget, but operating profit is below it."

STATE THE BASIS

"These figures cover the same month, currency, and reporting scope."

LOCATE THE MOVEMENT

"Freight and agency labor account for the identified cost increase."

AVOID EXTRAPOLATION

"We have not established that either increase is recurring."

NAME THE OFFSET

"The \$54,000 cost increase more than offsets the \$50,000 revenue increase."

QUANTIFY THE RESULT

"Operating profit is \$196,000, which is \$4,000 below budget."

PRESERVE UNCERTAINTY

"The rate-versus-volume split remains under review."

CLOSE WITH A CHECK

"I will validate the drivers before changing the forward estimate."

Above and below

Attach the comparator: above budget is incomplete if the audience might assume above last year.

More than offset

This phrase means the opposing movement is larger, explaining why the final result changes direction.

Percent versus points

A move from 10% to 12% is two percentage points, or a 20% relative increase.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY A COMPARISON

"Are you asking about budget, last year, or the previous forecast?"

EXPLAIN A DENOMINATOR

"The 2% decline is measured against budgeted operating profit."

LIMIT CAUSATION

"The category totals locate the increase but do not yet explain its cause."

KEEP A CAVEAT USEFUL

"The open question is recurrence, not whether the recorded increase exists."

CORRECT A UNIT

"That is a percentage-point change, not a percentage change."

CHALLENGE A LABEL

"What supports calling that item one-off?"

SEPARATE MARGINS

"A higher revenue total does not guarantee a higher operating margin."

OFFER A CONCISE ACCOUNT

"Sales gained \$50,000; operating costs rose by \$54,000 against budget."

Account for

The phrase can identify a numerical contribution without establishing an underlying operational cause.

Recurrence language

"May recur" is not the same as "is recurring"; the forecast needs a supported assumption.

On the same basis

Use this only after checking period, currency, scope, and relevant measurement definitions.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which sentence correctly explains the profit movement?

- A** Costs rose \$54,000, exceeding the \$50,000 revenue gain by \$4,000.
- B** Revenue rose 5%, so profit must rise 5%.
- C** Profit fell because 5 minus 2 equals 3.
- D** Costs fell \$54,000 and therefore reduced profit.

2. Which expression accurately describes the revenue comparison?

- A** Five percent above last year
- B** Five dollars above the prior forecast
- C** Five percent above the month's budget
- D** Five percentage points of revenue earned

3. Which statement preserves the unresolved cause?

- A** The categories are verified; rate and volume effects are not yet separated.
- B** The entire increase is proven to be wage inflation.
- C** Freight costs are conclusively nonrecurring.
- D** The mix effect explains all agency labor.

4. Which question usefully tests the one-off label?

- A** Would a smaller number make the slide easier?
- B** What evidence shows the cost will not recur under the forecast assumptions?
- C** Can we remove the expense because it is inconvenient?
- D** Is the expense typed in a separate row?

[Answers and explanations: page 76.](#)

Revenue is ahead, but profit is behind

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

offset / one-off / drivers / comparator / volume effect / basis / Operating margin / run rate / Materiality / variance

- 01 **Amir:** The opening slide says revenue is five percent ahead, yet operating profit is two percent behind. Give me the connection before we list every account in the ledger.
- 02 **Lena:** The ¹ _____ is operating cost. Revenue gained fifty thousand dollars against budget, while costs rose fifty-four thousand, leaving profit four thousand below plan.
- 03 **Amir:** Good. Make sure ahead means ahead of this month's budget. Someone reading the slide quickly could assume the five percent is a year-on-year growth figure.
- 04 **Lena:** I will name the ² _____ in the headline. Actual profit is one hundred ninety-six thousand dollars against two hundred thousand budgeted, using the same reporting scope.
- 05 **Amir:** Where does the fifty-four-thousand-dollar increase sit? We need a traceable explanation, but I do not want an unsupported operational story attached to the figures.
- 06 **Lena:** Freight contributes thirty thousand and agency labor twenty-four thousand. Those categories explain the ³ _____, but I have not yet separated rate and volume effects.
- 07 **Amir:** That distinction matters. More sales could require more activity, and a higher unit rate could also contribute. We should not call the entire increase inflation.
- 08 **Lena:** Agreed. The ⁴ _____ needs the underlying quantity records. I will compare those with the rates rather than infer the cause from the account name.
- 09 **Amir:** A colleague wants both increases labeled one-off because a supplier problem occurred this month. Does that event establish that the full amounts will disappear next month?
- 10 **Lena:** No. The ⁵ _____ description needs support. We must identify which costs relate to the event and whether the conditions causing them will continue.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 10.

- 11 **Amir:** Then keep that uncertainty visible in the forward estimate. A temporary issue and a permanent change in staffing cost would lead to different assumptions.
- 12 **Lena:** I will not roll the full amount into a new ⁶ _____ or remove it automatically. The current actuals are known; the expected future pattern remains an analytical question.
- 13 **Amir:** What about operating margin? Revenue growth alone sounds encouraging, but the profit result suggests we should avoid describing the overall performance as uniformly favorable.
- 14 **Lena:** Yes. ⁷ _____ uses profit divided by revenue. We should distinguish that ratio from the two percent decline in the profit amount against budget.
- 15 **Amir:** In a short update, would you say the problem is immaterial because the profit shortfall is only two percent? I do not want a casual label to close the discussion.
- 16 **Lena:** No. ⁸ _____ requires context, including any decision or reporting implications. The small percentage alone does not establish that the matter can be ignored.
- 17 **Amir:** Give me the final two sentences, with the open question intact. The meeting needs the result and the next analytical step, not every intermediate calculation.
- 18 **Lena:** Revenue is five percent above budget, but higher costs more than offset the gain. We are validating the ⁹ _____ and recurrence of the freight and agency-labor increases before revising expectations.
- 19 **Amir:** That works. Keep the dollar bridge available for follow-up, and ensure the period and currency remain visible when the slide is copied into the executive pack.
- 20 **Lena:** I will preserve the ¹⁰ _____ and retain the unresolved checks in the commentary. The shortened version will not turn a verified category movement into a verified cause.

ANSWERS / EXPLANATIONS: PAGE 77

1. offset | 2. comparator | 3. variance | 4. volume effect | 5. one-off | 6. run rate | 7. Operating margin | 8. Materiality | 9. drivers | 10. basis

Margin up, revenue flat

F Say it

Revenue is unchanged at \$500,000. Operating profit rises from \$50,000 to \$60,000 because costs fall by \$10,000. Both periods use the same scope and accounting basis.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

increase / forecast / denominator / costs

Analyst: "The dollar gain comes from lower ¹ _____, not higher sales."

Director: "The margin rises from 10% to 12%, a two-percentage-point ² _____."

Analyst: "I will keep the revenue ³ _____ unchanged in the comparison."

Director: "Confirm whether the savings recur before changing the ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 77

1. costs | 2. increase | 3. denominator | 4. forecast

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

December service, January invoice, January payment

A Read the situation

Clarify the reporting question and separate service timing, recognition, posting, and cash payment.

A supplier performed a December maintenance service. The \$12,000 invoice was dated 5 January and paid on 20 January. The approved policy for this fictional case expenses this type of service when received. Before confirming the December entry, accounting must verify completion and check whether an accrual was already posted. Sofia, an accountant, and Chen, the controller, are reviewing the close schedule. No new journal entry has been approved.

PEOPLE / Sofia: Accountant | Chen: Controller

CLARIFY WHICH DATE ANSWERS THE QUESTION

A colleague asking "Which month?" may mean the expense period, invoice date, payment month, or posting period. Name the purpose of the schedule before choosing a date. Precision about accounting judgments is more useful than confident repetition of a familiar rule.

Briefing checks

Circle one answer in each item. Use the briefing.

1. In which month did the cash payment occur?

A January

B December

C February

D The payment date is unknown

2. What checks are required before the December entry is confirmed?

A Only the invoice font

B Whether January has more business days

C Whether the supplier prefers a later expense

D Service completion and whether an accrual already exists

3. What entry has been approved?

A A reversal of every December balance

B A transfer to share capital

C No new journal entry

D An automatic second \$12,000 expense

Answers and explanations: page 78.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

income statement

A report of income and expenses over a stated period.

IN USE review the income statement

balance sheet

A statement of assets, liabilities, and equity at a stated date.

IN USE reconcile a balance-sheet account

cash flow statement

A report of cash movements classified under the relevant framework.

IN USE explain the cash flow statement

reporting period

The interval covered by a financial report.

IN USE identify the reporting period

period-end close

Procedures used to finalize records for a reporting period.

IN USE complete the period-end close

cutoff

Assignment of transactions to the appropriate accounting period.

IN USE test transaction cutoff

recognition

Recording an item in financial statements when relevant criteria are met.

IN USE assess expense recognition

accrual

Recognition of income or expense before related cash is received or paid.

IN USE review the expense accrual

accrued liability

A recorded obligation for an incurred cost not yet settled.

IN USE substantiate an accrued liability

accounts payable

Amounts owed to suppliers for goods or services received.

IN USE reconcile accounts payable

prepayment

Payment recorded before the related expense is recognized.

IN USE release a prepayment to expense

deferred revenue

Amount recorded as a liability before related revenue is recognized.

IN USE analyze deferred revenue

Precision check

Under the expressly stated case policy, December service receipt is relevant to the expense period. January payment belongs to January cash reporting. The invoice date alone does not answer both questions, and an existing accrual must be checked before another expense is posted.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

journal entry

A recorded set of debits and credits.

IN USE approve a journal entry

general ledger

The central record of financial accounts and postings.

IN USE inspect the general ledger

subledger

Detailed records supporting a general-ledger account.

IN USE reconcile the subledger

posting date

The date used to record an entry in a system.

IN USE verify the posting date

reversing entry

An entry that offsets an earlier entry under the relevant process.

IN USE check the reversing entry

true-up

An adjustment aligning an estimate with updated support.

IN USE calculate the required true-up

supporting schedule

A detailed record explaining a reported balance.

IN USE maintain the supporting schedule

account reconciliation

Comparison and explanation of records supporting an account balance.

IN USE complete the account reconciliation

accounting estimate

An amount measured using judgment and available information.

IN USE document an accounting estimate

accounting policy

The principles and methods used for a class of transactions.

IN USE apply the approved accounting policy

capitalization

Recording qualifying expenditure as an asset rather than an immediate expense.

IN USE assess capitalization criteria

audit trail

Records that allow a transaction and its approvals to be traced.

IN USE preserve the audit trail

Precision check

A journal can balance mathematically and still be wrong in period, account, amount, or support. Approval of an entry and confirmation of service completion are different controls. Follow the applicable framework and policy for actual transactions, not this fictional example alone.

Phrases you can actually use

C Notice the language / 1 of 2

CLARIFY THE SCHEDULE

"Are we showing expense recognition or the cash payment date?"

APPLY THE CASE POLICY

"The stated policy expenses this service when received."

CHECK DUPLICATION

"Was a December accrual already recorded for this supplier?"

SEPARATE RECORDS

"The invoice date and reporting period need not answer the same question."

STATE THE SEQUENCE

"Service was in December; invoicing and payment occurred in January."

REQUEST SUPPORT

"Please provide evidence that the December service was completed."

LIMIT APPROVAL

"The new entry is not approved until the supporting checks are complete."

CLOSE THE REVIEW

"I will reconcile the existing balance before proposing an adjustment."

Occurred versus posted

A service occurs on operational dates; an entry is posted to accounting records. Do not merge those events.

Already and yet

"Already accrued" tests duplication, while "not yet approved" states the current authorization limit.

Which month for what

Pair every date with its purpose: service month, invoice date, cash date, or reporting period.

Phrases you can actually use

C Notice the language / 2 of 2

TRACE THE AMOUNT

"Which schedule supports the \$12,000 balance?"

NAME THE ADJUSTMENT

"Is this a new expense or a true-up of an existing estimate?"

AVOID A SHORTCUT

"Payment timing alone does not determine expense recognition here."

KEEP STATUS CLEAR

"Prepared for review is not the same as approved for posting."

CHECK A REVERSAL

"Has the earlier accrual reversed, and in which posting period?"

PRESERVE EVIDENCE

"Link the service confirmation and invoice to the journal support."

SPECIFY THE ACCOUNT

"Which ledger account contains the original accrual?"

CONFIRM THE HANDOFF

"The remaining checks are completion evidence and the existing accrual."

Under the policy

This phrase ties the treatment to the stated case rule instead of asserting a universal accounting result.

Before posting

A before-clause makes the required sequence explicit: verify the support before posting an adjustment.

Estimate versus actual

A true-up may reconcile a previous estimate with better information; it is not automatically an additional full expense.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which question best clarifies the ambiguous month request?

- A** Do you mean the expense period or the payment month?
- B** Do you prefer December because it looks better?
- C** Can we use whichever date is latest?
- D** Should every schedule show January?

2. Which statement follows the case facts?

- A** Cash was paid in December because service occurred then.
- B** The invoice date proves no accrual exists.
- C** Payment automatically authorizes a second expense.
- D** Cash was paid in January; the expense-period check uses the service facts and policy.

3. Which check helps prevent duplicate expense recognition?

- A** Search for the existing accrual and its reversal.
- B** Rename the invoice file.
- C** Add another journal without reviewing the ledger.
- D** Change the payment date in the bank record.

4. Which phrase accurately describes the proposed journal?

- A** Automatically capitalized by the invoice date
- B** Prepared for review, not approved for posting
- C** Fully authorized because it balances
- D** Irrelevant because the supplier was paid

Answers and explanations: [page 78](#).

December service, January invoice, January payment

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

expense recognition / general ledger / audit trail / reversing entry / cash flow / true-up / accrual / cutoff / journal entry / handoff

- 01 **Sofia:** The supplier's maintenance invoice is dated January fifth and was paid on January twentieth. The close schedule asks for a month, but the work was performed in December.
- 02 **Chen:** First clarify the schedule's purpose. Is it tracking cash payment or
¹ _____? Using one date for both would hide the distinction we need.
- 03 **Sofia:** It supports the December expense review, not the cash forecast. Our stated policy expenses this type of maintenance when received, so I requested evidence of service completion.
- 04 **Chen:** Good. That evidence supports the ² _____ assessment. The invoice date alone does not establish when the service was received or whether the December work was complete.
- 05 **Sofia:** The operations contact says the work finished in December. I am waiting for the service confirmation rather than treating an informal assurance as the whole journal support.
- 06 **Chen:** Also check whether the cost was already included in an ³ _____. We must not post the full invoice as a second expense if the earlier close already recognized it.
- 07 **Sofia:** I found a supplier estimate on the supporting schedule, but I have not traced it to the ledger. The schedule alone does not show whether the journal actually posted.
- 08 **Chen:** Trace it through the ⁴ _____ and check the document reference. Prepared, approved, and posted describe separate states, even when the amounts happen to match.
- 09 **Sofia:** If the amount was recorded, I will check whether a reversal ran in January. Otherwise I could misunderstand the current payable and propose the wrong correction.
- 10 **Chen:** Exactly. The ⁵ _____ needs to be identified, not assumed. Follow the entry history before deciding what adjustment is needed under our process.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 19.

- 11 **Sofia:** The bank record clearly shows January payment. I will retain that date for cash reporting even if the expense belongs to the December period under the case policy.
- 12 **Chen:** That separates the ⁶ _____ from the expense. A transaction can affect different reports at different stages without either report being inconsistent.
- 13 **Sofia:** Suppose the earlier accrual was an estimate rather than the exact invoice amount. I would compare the supported amounts instead of automatically treating the difference as a new service.
- 14 **Chen:** Yes. Assess any required ⁷ _____ and document its basis. The difference must be explained and approved through the relevant close procedure.
- 15 **Sofia:** I have a draft entry ready, but I will leave its status as prepared for review. It balances, although that does not confirm the period or underlying support.
- 16 **Chen:** Correct. A balanced ⁸ _____ can still be wrong. Review the account, period, amount, evidence, and authorization rather than relying only on the arithmetic.
- 17 **Sofia:** I will attach the service confirmation, invoice, ledger reference, and reversal information when available. That should allow a reviewer to follow the sequence without reconstructing it.
- 18 **Chen:** It creates the necessary ⁹ _____. Keep the January payment evidence linked as well, but do not let its date replace the expense-period analysis.
- 19 **Sofia:** My update will say the service relates to December under the stated policy, cash was paid in January, and completion and prior-accrual checks remain open.
- 20 **Chen:** That is a clear ¹⁰ _____. Once those checks are complete, bring the proposed treatment back for approval before any new posting.

ANSWERS / EXPLANATIONS: PAGE 79

1. expense recognition | 2. cutoff | 3. accrual | 4. general ledger | 5. reversing entry | 6. cash flow | 7. true-up | 8. journal entry | 9. audit trail | 10. handoff

A paid subscription covers future service

F Say it

A company pays \$6,000 in December for service covering January through June. In this fictional case, the approved policy records a prepayment and releases \$1,000 per service month. The payment is confirmed.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

January / recognition / schedule / prepayment

Accountant: "December payment creates a ¹ _____ under the stated policy."

Controller: "The service period begins in ² _____."

Accountant: "The monthly release is \$1,000, supported by the ³ _____."

Controller: "Keep the cash date distinct from expense ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 79

1. prepayment | 2. January | 3. schedule | 4. recognition

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A forecast bridge with an unexplained remainder

A Read the situation

Present a reconciled forecast update and distinguish quantified drivers from unresolved residuals.

The annual spending budget for a service line is \$100,000. The latest full-year forecast is \$120,000, including actual spending to date and estimated remaining spending. A new supplier fee explains \$15,000 of the forecast increase. The remaining \$5,000 is not yet attributed. Mei, a financial planning and analysis analyst, is preparing a bridge for Rafael, the business lead. No budget increase or savings action has been approved.

PEOPLE / Mei: Financial planning and analysis analyst | Rafael: Business lead

A FORECAST IS AN ESTIMATE, NOT A PERMISSION SLIP

Business discussions often mix an updated estimate with a request to spend more. Report the forecast honestly even when it exceeds the budget, then identify the approval or management action as a separate decision. Do not fill an unexplained residual with a plausible-sounding label.

Briefing checks

Circle one answer in each item. Use the briefing.

1. How far is the full-year forecast above budget?

A \$120,000

B \$20,000

C \$15,000

D \$5,000

2. How much remains unattributed?

A \$20,000

B \$15,000

C Nothing

D \$5,000

3. What does the new forecast authorize?

A Removal of the supplier fee

B No budget increase or savings action by itself

C Automatic spending approval up to \$120,000

D A confirmed \$5,000 saving

Answers and explanations: [page 80](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

FP&A

Financial planning and analysis, connecting forecasts and business decisions.

IN USE prepare an FP&A update

budget

An approved financial plan for a specified period and scope.

IN USE retain the approved budget

forecast

An updated estimate of expected performance using stated assumptions.

IN USE refresh the full-year forecast

actuals

Recorded results for completed periods on the stated basis.

IN USE load the latest actuals

year to date

The elapsed part of a financial or calendar year.

IN USE reconcile year-to-date spending

full year

The complete annual period used for planning or reporting.

IN USE present the full-year outlook

remaining-year estimate

Expected performance for the uncompleted portion of the year.

IN USE update the remaining-year estimate

rolling forecast

A forecast extended regularly over a moving future horizon.

IN USE maintain a rolling forecast

reforecast

An updated forecast replacing an earlier estimate.

IN USE explain the reforecast changes

baseline

A defined starting reference for comparison or modeling.

IN USE lock the comparison baseline

bridge

A reconciliation from one financial amount to another through identified movements.

IN USE reconcile the forecast bridge

waterfall

A chart showing sequential contributions from a starting value to an ending value.

IN USE label the waterfall clearly

Precision check

The bridge is \$100,000 budget plus \$15,000 identified supplier fee plus \$5,000 unexplained increase, giving \$120,000 forecast. The last amount is a residual, not a verified operational driver. Label it openly instead of inventing a cause.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

residual

The amount left after identified components are deducted.

IN USE investigate the unexplained residual

plug

An unsupported amount inserted to make a calculation or reconciliation balance.

IN USE avoid an unsupported plug

cost center

An organizational unit used to collect or control costs.

IN USE verify the cost-center allocation

cost allocation

Assignment of costs to units or activities using a stated method.

IN USE review the allocation basis

commitment

An obligation or planned expenditure with status requiring clarification.

IN USE distinguish commitments from actuals

purchase order

An authorized order for specified goods or services.

IN USE check the purchase-order amount

phasing

Distribution of an amount across periods.

IN USE revise monthly phasing

timing variance

A difference caused by an item occurring in a different period.

IN USE isolate a timing variance

structural variance

A difference reflecting an underlying change rather than timing alone.

IN USE assess a structural variance

contingency

A provision in a plan for specified uncertainty or risk.

IN USE explain the contingency assumption

scenario

A coherent set of assumptions and resulting outcomes.

IN USE compare downside and base scenarios

forecast bias

A systematic tendency to overestimate or underestimate outcomes.

IN USE examine forecast bias

Precision check

Actuals to date and estimated remaining spending make up the full-year forecast, but they have different evidential status. Moving spending between months changes phasing; it does not necessarily reduce the full-year total. A forecast update does not amend the approved budget.

Phrases you can actually use

C Notice the language / 1 of 2

03

LEAD WITH THE OUTLOOK

"Full-year spending is forecast at \$120,000 against a \$100,000 budget."

NAME THE RESIDUAL

"The remaining \$5,000 has not yet been attributed."

AVOID A PLUG

"I will keep the residual visible rather than assign an unsupported cause."

TEST PHASING

"Is this a shift between months or a change to the full-year total?"

QUANTIFY THE BRIDGE

"The \$20,000 increase includes a verified \$15,000 supplier fee."

SEPARATE ACTUAL AND ESTIMATE

"The total combines recorded actuals with a remaining-year estimate."

DISTINGUISH AUTHORITY

"The updated forecast does not approve additional spending."

CLOSE THE UPDATE

"The next review will identify the residual's source and any proposed action."

Forecast to be

This construction describes an estimate; "has spent" describes actual expenditure already incurred.

Explained versus reconciled

A bridge may add up while still containing an unexplained residual. State which sense of complete you mean.

Of that

"Fifteen thousand of that increase" links a component to the total and avoids treating it as an additional amount.

Phrases you can actually use

C Notice the language / 2 of 2

03

DEFINE THE BASELINE

"The comparison remains the approved \$100,000 annual budget."

CHECK COMMITMENTS

"Does the estimate include the open purchase order?"

PREVENT DOUBLE COUNTING

"Has the supplier fee already been included in the remaining-year estimate?"

PRESERVE UNCERTAINTY

"The bridge reconciles arithmetically, but one driver remains unresolved."

CHALLENGE A SAVING

"What action and evidence support that reduction?"

SEPARATE POSSIBILITY

"That is a scenario, not the current approved operating plan."

CLARIFY OWNERSHIP

"Which cost-center owner can verify the allocation?"

DESCRIBE APPROVAL

"Any budget revision requires a separate decision."

Until verified

Keep a tentative cause explicitly tentative until the relevant records support it.

Timing versus total

"Later this year" changes phasing; "next year" may change the current full-year figure and needs separate review.

Decision language

Estimated, requested, budgeted, and approved describe different financial states.

Choose the precise message

D Check your understanding

03

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which update keeps the residual honest?

- A** The remaining \$5,000 is definitely inflation.
- B** The fee explains \$15,000; \$5,000 remains unattributed.
- C** The supplier fee explains the entire \$20,000.
- D** A confirmed efficiency saving offsets the residual.

2. Which description fits the \$120,000 figure?

- A** A guaranteed year-end result
- B** Full-year forecast including actuals and estimated remaining spending
- C** Actual cash already paid
- D** A newly approved budget

3. Which question distinguishes phasing from a real annual change?

- A** Can the bar be moved on the slide?
- B** Can we call every delay a saving?
- C** Is the invoice printed in color?
- D** Will the cost still occur within the same full year?

4. Which sentence preserves budget authority?

- A** The forecast automatically raises the budget.
- B** An unexplained residual authorizes an exception.
- C** Every predicted cost is an approved commitment.
- D** The forecast is updated; the approved budget remains \$100,000.

Answers and explanations: [page 80](#).

A forecast bridge with an unexplained remainder

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

actuals / structural variance / remaining-year estimate / forecast / plug / baseline / residual / phasing / attribution / bridge

- 01 **Rafael:** The full-year spending outlook is one hundred twenty thousand dollars. Is that a new budget request, or are you telling me the expected result has changed?
- 02 **Mei:** It is the latest ¹ _____. The approved budget remains one hundred thousand, and no additional spending approval follows automatically from updating the estimate.
- 03 **Rafael:** Explain the twenty-thousand-dollar increase. The supplier added a fee, but the note mentions only fifteen thousand, not the complete movement.
- 04 **Mei:** The ² _____ starts at the budget, adds fifteen thousand for the fee, and shows five thousand still unattributed. It reaches one hundred twenty thousand without hiding that gap.
- 05 **Rafael:** Could the remainder be inflation? That would make a simple explanation for the review meeting, although I have not seen a rate calculation supporting it.
- 06 **Mei:** It could have several causes, but the ³ _____ is not evidence of inflation. I will check the records instead of assigning the most convenient label.
- 07 **Rafael:** Please also confirm whether the supplier fee has been counted twice. The cost-center owner may have included it in the amount submitted for the rest of the year.
- 08 **Mei:** I will compare that submission with the ⁴ _____ and its assumptions. A separate bridge line must explain the change, not duplicate a cost already included in the forecast.
- 09 **Rafael:** The total includes spending already recorded as well as future estimates, correct? I want the meeting pack to distinguish evidence from assumptions rather than treating every dollar alike.
- 10 **Mei:** Correct. We have ⁵ _____ for completed periods, then estimated spending for the balance of the year. I will make that composition visible in the supporting schedule.

The conversation, continued

E Conversations / turns 11-20

03

Continue with the word bank on page 28.

- 11 **Rafael:** A project manager says moving a payment from October to November saves money in October. Is that enough to reduce the full-year forecast we are discussing?
- 12 **Mei:** Not by itself. That may change ⁶ _____, while leaving the annual total unchanged. We need to know whether the cost disappears, shifts, or changes in amount.
- 13 **Rafael:** Good. I also do not want a general savings target entered as though an approved operational action will definitely deliver it. The action owners have not confirmed anything.
- 14 **Mei:** I will keep an unsupported ⁷ _____ out of the estimate. Any proposed saving needs an identified action, timing, amount, and appropriate review of whether it belongs in the forecast.
- 15 **Rafael:** What should we hold constant during the investigation? Changing several inputs in the next version could make the comparison difficult to follow.
- 16 **Mei:** Retain the approved budget as the ⁸ _____. I will document changes to the forecast separately, including any corrected allocation or duplicate discovered in the supporting records.
- 17 **Rafael:** If the fee persists next year, distinguish that ongoing change from a cost arriving a month earlier than expected.
- 18 **Mei:** Yes. A ⁹ _____ affects the underlying spending pattern. We should test that interpretation rather than infer permanence from one invoice or one forecast update.
- 19 **Rafael:** For now, the message is twenty thousand above budget, fifteen thousand explained, five thousand under review, and no new spending authority. Is anything important missing?
- 20 **Mei:** Add that this is a full-year estimate, not an assured outcome. I will return with the ¹⁰ _____ of the residual and any proposed management action, keeping the approval decision separate.

ANSWERS / EXPLANATIONS: PAGE 81

1. forecast | 2. bridge | 3. residual | 4. remaining-year estimate | 5. actuals | 6. phasing | 7. plug | 8. baseline | 9. structural variance | 10. attribution

A delayed purchase is not a canceled purchase

F Say it

A \$9,000 purchase moves from March to April within the same financial year. Its amount is unchanged, and the approved full-year plan still includes it. No cancellation is authorized.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

phasing / forecast / record / saving

Analyst: "The move changes monthly ¹ _____, not the annual amount."

Manager: "Do not describe the March reduction as a confirmed
² _____."

Analyst: "The full-year ³ _____ still includes \$9,000."

Manager: "Retain the purchase's approval and timing ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 81

1. phasing | 2. saving | 3. forecast | 4. record

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Friday cash depends on an unconfirmed receipt

04

A Read the situation

Explain conditional liquidity, test a delayed-receipt case, and distinguish available funds from unverified facilities.

Friday begins with \$80,000 of available cash. Scheduled outflows total \$100,000. The base forecast includes a \$50,000 customer receipt on Friday, but the customer has not confirmed payment. Without that receipt, the calculation shows a \$20,000 shortfall; with it, closing cash is \$30,000. Inez, the treasury analyst, and Paul, the finance manager, are reviewing the position. A credit facility exists, but its undrawn availability and draw conditions have not been verified. No payment deferral or facility draw is approved.

PEOPLE / Inez: Treasury analyst | Paul: Finance manager

STATE THE DEPENDENCY BEFORE THE REASSURING TOTAL

A cash number can sound certain even when it depends on an unconfirmed receipt. Attach the condition to the balance itself, then explain the delayed-receipt case and the authorized next checks. A forecast is useful precisely because it reveals dependencies early.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is forecast closing cash if the receipt arrives as assumed?

A \$30,000

B \$130,000

C \$50,000

D \$20,000

2. What happens in the stated no-receipt calculation?

A A \$20,000 shortfall

B A \$20,000 surplus

C A confirmed facility draw

D Automatic cancellation of outflows

3. What has not been verified about the facility?

A The opening cash amount

B The scheduled outflow total

C Undrawn availability and draw conditions

D Whether any facility exists

Answers and explanations: page 82.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

treasury

Management of cash, funding, and related financial risks.

IN USE prepare a treasury update

liquidity

Ability to meet obligations when due using accessible resources.

IN USE assess the liquidity position

available cash

Cash accessible for the stated purpose under relevant restrictions.

IN USE confirm available cash

restricted cash

Cash subject to limits on access or use.

IN USE separate restricted cash

cash inflow

A receipt of cash during a period.

IN USE verify an expected cash inflow

cash outflow

A payment or other movement of cash out of the entity.

IN USE schedule the cash outflows

cash forecast

An estimate of future receipts, payments, and balances.

IN USE refresh the short-term cash forecast

cash shortfall

A gap between available cash and the cash needed.

IN USE quantify the cash shortfall

cash buffer

Cash retained as protection against uncertainty or needs.

IN USE assess the required cash buffer

working capital

Current assets less current liabilities; operational variants require definition.

IN USE define the working-capital measure

receivables

Amounts due from customers or other debtors.

IN USE monitor overdue receivables

payables

Amounts owed to suppliers or other creditors.

IN USE review scheduled payables

Precision check

The \$30,000 closing balance is conditional on receiving \$50,000 that day. Without it, the stated arithmetic shows a \$20,000 funding gap. A customer promise, a payment instruction, a settlement notice, and available funds are different evidence states.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

DSO

Days sales outstanding, a measure relating receivables to credit sales.

IN USE monitor DSO trends

DPO

Days payable outstanding, a measure relating payables to relevant purchases or costs.

IN USE state the DPO calculation basis

cash conversion cycle

A measure combining inventory, collection, and payment timing.

IN USE analyze the cash conversion cycle

revolving credit facility

Borrowing that may be drawn and repaid within agreed terms and limits.

IN USE verify revolver availability

undrawn availability

A facility amount potentially accessible after applicable limits and conditions.

IN USE confirm undrawn availability

drawdown

Borrowing an amount under a facility.

IN USE obtain drawdown approval

covenant

A requirement in a financing agreement.

IN USE test covenant compliance

headroom

Capacity remaining before a defined limit is reached.

IN USE quantify covenant headroom

settlement date

The date a transaction is completed through the relevant exchange of funds or assets.

IN USE confirm the settlement date

value date

The date assigned for funds' financial effect under the banking arrangement.

IN USE check the payment value date

FX exposure

Sensitivity to movements in foreign-exchange rates.

IN USE identify the FX exposure

hedge

A position intended to reduce a specified risk, with its own limits and costs.

IN USE evaluate a proposed hedge

Precision check

An existing credit facility is not the same as verified cash available now. Limits, covenants, conditions, timing, and approval may affect a draw. Foreign-currency exposure also needs a specified currency and amount; a hedge does not eliminate every risk.

Phrases you can actually use

C Notice the language / 1 of 2

ATTACH THE CONDITION

"Closing cash is forecast at \$30,000 if the customer pays Friday."

SEPARATE EVIDENCE

"The expected receipt is in the model, but payment is not confirmed."

QUALIFY FUNDING

"The facility exists; usable availability is still being checked."

STATE THE DEPENDENCY

"The base case depends on the customer receipt arriving that day."

NAME THE ALTERNATIVE

"Without that receipt, the model shows a \$20,000 shortfall."

REQUEST CONFIRMATION

"Please verify the payment status and expected settlement date."

AVOID AUTHORIZATION

"No drawdown or payment deferral has been approved."

CLOSE WITH OWNERSHIP

"I will confirm the receipt status and route the funding options for approval."

If, not when

Use if for an unconfirmed event; when can imply that the event is assured.

Available versus expected

Expected receipts are forecast inflows, while available cash is accessible at the stated time.

Would versus will

"Would be \$30,000 if..." preserves the condition; an unconditional will can overstate certainty.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY AVAILABILITY

"Is that cash accessible, or is any portion restricted?"

PRESERVE THE DOWNSIDE

"Keep the delayed-receipt case beside the base case."

SEPARATE PROFIT

"Accounting profit does not establish cash available for Friday's payments."

LIMIT A HEDGE CLAIM

"The proposed hedge addresses a specified exposure, not every financial risk."

CHECK TIMING

"Does the value date support the assumed availability?"

TEST A LIMIT

"How much headroom remains under the agreement's definition?"

DEFINE CURRENCY

"What currency and amount does the exposure relate to?"

REPORT THE DECISION

"We need an authorized funding response, not a more optimistic assumption."

Shortfall versus loss

A cash shortfall is a funding gap, not automatically an accounting loss.

Draw versus approve

A possible draw, an approved draw, and received proceeds identify different states.

Currency qualifiers

Do not quote an FX amount without identifying the currency and relevant conversion basis.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which sentence preserves the receipt condition?

- A** Closing cash is forecast at \$30,000 if the \$50,000 arrives Friday.
- B** Closing cash is guaranteed at \$30,000.
- C** A forecast entry proves the customer paid.
- D** A positive base case eliminates the funding gap.

2. Which calculation describes the delayed-receipt case?

- A** \$80,000 minus \$100,000 equals a \$20,000 shortfall.
- B** \$80,000 plus \$100,000 equals available cash.
- C** \$50,000 minus \$30,000 proves a surplus.
- D** The facility automatically supplies \$20,000.

3. What must be checked before counting the facility as usable funding?

- A** Only whether its name appears in a file
- B** Whether the base forecast looks positive
- C** Whether last year's profit was high
- D** Availability, conditions, timing, and authorization

4. Which statement separates cash from profit?

- A** Profit does not itself confirm funds available for the scheduled payments.
- B** Every profitable business has unlimited cash.
- C** All receivables are already bank cash.
- D** Restricted cash is always freely usable.

Answers and explanations: [page 82](#).

Friday cash depends on an unconfirmed receipt

E Conversations / turns 1-10

04

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

dependency / settlement date / shortfall / base case / outflows / liquidity / available cash / headroom / undrawn availability / drawdown

- 01 **Paul:** The forecast shows thirty thousand dollars at Friday close. Can I tell the operating team that all scheduled payments are covered without a funding decision?
- 02 **Inez:** Only with the receipt condition attached. The ¹ _____ includes fifty thousand from the customer, and that payment has not been confirmed.
- 03 **Paul:** Walk me through the cash arithmetic and the alternative. I need to understand the dependency before the team relies on the closing balance.
- 04 **Inez:** We start with eighty thousand and schedule one hundred thousand in outflows. Without the receipt, there is a twenty-thousand-dollar ² _____; with it, thirty thousand remains.
- 05 **Paul:** The customer normally pays on time. That helps us judge the assumption, but it does not prove the funds will be available this Friday.
- 06 **Inez:** Exactly. I will request the payment status and ³ _____. A planned payment date and completed settlement may not give us the same evidence.
- 07 **Paul:** Could we simply include the credit facility in available cash? The agreement is on file, and the facility was used earlier in the year.
- 08 **Inez:** Not until we verify ⁴ _____ and the current draw conditions. An existing agreement is not itself a confirmed source of funds for the required time.
- 09 **Paul:** Please check any notice period too. Even an amount we may borrow could be too late for the particular payment schedule we are trying to cover.
- 10 **Inez:** I will assess the proposed ⁵ _____ timing and authorization with the responsible team. No borrowing action is approved merely because we have identified a possible gap.

The conversation, continued

E Conversations / turns 11-20

04

Continue with the word bank on page 37.

- 11 **Paul:** And do not silently move supplier payments to make the forecast positive. Any deferral could affect contractual commitments and operating relationships.
- 12 **Inez:** Agreed. The scheduled ⁶ _____ remain as stated unless an authorized change is confirmed. I will show possible responses separately from the current case.
- 13 **Paul:** What should the update say about the balance we start with? I want to know that the eighty thousand does not include funds we cannot use.
- 14 **Inez:** The case identifies it as ⁷ _____. In the working file, I will retain the supporting check and keep any restricted balances separately identified.
- 15 **Paul:** The business lead may ask why this matters when the operation is profitable. We should explain that without suggesting the accounting result is wrong.
- 16 **Inez:** Profit and ⁸ _____ answer different questions. Revenue can be recognized before collection, while suppliers and employees still need payment on their scheduled dates.
- 17 **Paul:** Once the facility terms are checked, include the relevant limit calculation. A quoted borrowing ceiling alone may hide conditions affecting how much we can use.
- 18 **Inez:** I will state the applicable ⁹ _____ and its definition, with any unverified conditions visible. We should not invent a covenant result to complete the funding table.
- 19 **Paul:** Then the update should lead with the conditional balance and the delayed-receipt gap, followed by the receipt check and the funding decision still required.
- 20 **Inez:** Yes. I will keep the ¹⁰ _____ attached to the number and route verified options for approval. An optimistic forecast assumption will not substitute for an authorized response.

ANSWERS / EXPLANATIONS: PAGE 83

1. base case | 2. shortfall | 3. settlement date | 4. undrawn availability | 5. drawdown | 6. outflows | 7. available cash | 8. liquidity | 9. headroom | 10. dependency

A receipt slips to Monday

F Say it

Friday starts with \$40,000 and has \$55,000 of scheduled outflows. A \$25,000 receipt is now confirmed for Monday, not Friday. No alternative funding or payment change is approved.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

balance / timing / approval / shortfall

Analyst: "Exclude the Monday receipt from Friday's closing ¹ _____."

Manager: "Friday therefore shows a \$15,000 cash ² _____."

Analyst: "I will present possible funding options without implying ³ _____."

Manager: "Keep Monday's receipt and its confirmed ⁴ _____ in the update."

ANSWERS / EXPLANATIONS: PAGE 83

1. balance | 2. shortfall | 3. approval | 4. timing

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A six-percent return without the fee label

A Read the situation

05

Present a qualified performance comparison and correct misleading return language.

A portfolio earned 6% before fees over the stated twelve-month period. Its selected benchmark returned 5% for that period. A draft client slide says "outperformed by 1%" but omits the portfolio fee basis. The net-of-fees return is not supplied, and the reporting team must verify currency and calculation consistency before approving the comparison. Omar, the performance analyst, and Grace, the client-reporting manager, are revising the slide. No claim about future returns is authorized.

PEOPLE / Omar: Performance analyst | Grace: Client-reporting manager

A CLEAR HEADLINE NEEDS A FAIR COMPARISON

Clients may reasonably read an unlabeled return as the amount they earned after costs. Put important fee and period information near the number, not only in remote explanatory text. Precision about historical performance is part of clear communication, not an obstacle to it.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What does the 6% measure represent?

A A guaranteed next-year return

B The benchmark return

C The portfolio return before fees for the stated period

D A verified net-of-fees client return

2. What is the arithmetic difference between 6% and 5%?

A Five basis points

B One percentage point

C One percent of 5%

D Six percentage points

3. What is missing before the full comparison can be approved?

A Net-return information and the required basis checks

B The stated twelve-month period

C The existence of a selected benchmark

D The fact that the portfolio return is before fees

Answers and explanations: [page 84](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

portfolio

A collection of investments held or managed together.

IN USE review portfolio performance

benchmark

A reference used to evaluate investment performance or exposure.

IN USE select an appropriate benchmark

gross return

Return before the specified fees or costs are deducted.

IN USE label gross return

net return

Return after the specified fees or costs are accounted for.

IN USE verify the net-return basis

total return

A measure combining income and price movement under a stated method.

IN USE compare total-return measures

price return

Return from price movement excluding specified income effects.

IN USE distinguish price return from total return

annualized return

Return expressed as an equivalent annual rate using a specified method.

IN USE explain an annualized return

cumulative return

The total return over the stated multi-period interval.

IN USE report cumulative return

time-weighted return

A method designed to reduce the effect of external cash-flow timing.

IN USE calculate time-weighted return

money-weighted return

A return measure affected by the size and timing of cash flows.

IN USE explain money-weighted return

attribution

Analysis allocating performance to defined contributing factors.

IN USE review performance attribution

excess return

Return above or below a stated benchmark on a consistent basis.

IN USE quantify historical excess return

Precision check

Six percent minus five percent is one percentage point, or 100 basis points. Saying "1% higher" is ambiguous and can be read as a relative comparison. The arithmetic difference alone does not establish a fair benchmark comparison without consistent methods and scope.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

volatility

Variability of returns or prices over the measured interval.

IN USE state the volatility measure

drawdown

A decline from a previous peak in the specified value series.

IN USE assess maximum drawdown

tracking error

Variability of returns relative to a benchmark under a defined method.

IN USE measure tracking error

asset allocation

Distribution of investment exposure among asset categories.

IN USE explain asset-allocation effects

security selection

Choice of individual investments within the relevant universe.

IN USE assess security-selection contribution

yield

An income or valuation-based rate whose meaning depends on its defined type.

IN USE specify the yield measure

coupon

The contractual interest payment terms of a bond.

IN USE distinguish coupon from yield

maturity

The contractual date when a debt's principal is due, subject to its terms.

IN USE identify the maturity date

duration

A bond measure related to timing or rate sensitivity, depending on the type.

IN USE specify modified duration

credit spread

A yield difference against a reference, reflecting several risk and market factors.

IN USE monitor credit-spread movement

unrealized gain

An increase in the value of a position not yet disposed of.

IN USE distinguish unrealized from realized gain

realized gain

A gain recognized on disposal under the stated reporting basis.

IN USE report realized gains

Precision check

Gross and net returns differ by their stated cost treatment; neither label should be guessed. Income reinvestment, currency, cash flows, period, and benchmark selection also affect interpretation. Historical performance does not guarantee a future result.

Phrases you can actually use

C Notice the language / 1 of 2

LABEL THE RESULT

"The portfolio returned 6% before fees over the stated twelve months."

STATE THE GAP

"The net-of-fees figure has not been supplied."

CLARIFY THE BENCHMARK

"Which index and return version are used in this comparison?"

LIMIT THE CLAIM

"This reports historical performance, not an expected future return."

CORRECT THE UNIT

"The arithmetic difference is one percentage point, not simply "1% higher.""

CHECK COMPARABILITY

"We need consistent period, currency, and calculation bases."

PRESERVE CONTEXT

"Keep the fee label beside the portfolio return."

CLOSE WITH REVIEW

"I will verify the basis before the client version is approved."

By versus to

Rose by 6% describes a change; rose to 6% describes the resulting level. Name the measure.

Points for differences

Use percentage points or basis points when subtracting quoted percentage returns.

Gross and net qualifiers

Keep the qualifier with the number so copying a headline does not change its apparent meaning.

Phrases you can actually use

C Notice the language / 2 of 2

DISTINGUISH MEASURES

"Is that a price-return index or a total-return index?"

AVOID A SHORTCUT

"A higher headline return does not establish lower risk."

NAME THE YIELD

"Do you mean current yield or yield to maturity?"

QUALIFY A RESULT

"The comparison remains provisional while the calculation basis is checked."

CHECK CASH FLOWS

"Does the method account for client contributions and withdrawals consistently?"

EXPLAIN ATTRIBUTION

"The report separates allocation and selection effects under its stated method."

SEPARATE INCOME

"The coupon rate is not the same as the investor's total return."

CORRECT A PROMISE

"We cannot present last year's outperformance as a guarantee."

Over the period

This phrase identifies a realized historical measurement, not a prediction about the next interval.

Equivalent comparisons

Same dates alone do not guarantee matching currency, income treatment, or methodology.

Risk language

Outperformance describes a return comparison; it does not establish suitability or the absence of risk.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which headline preserves the known fee treatment?

- A** Net return: 6%, because the gross return is known
- B** Portfolio return: 6% before fees for the stated twelve months
- C** Client return after all fees: 6%
- D** Guaranteed next-year return: 6%

2. How should the arithmetic gap be expressed?

- A** One basis point
- B** One percent of the benchmark
- C** Six percent above every alternative
- D** One percentage point, or 100 basis points

3. Which check goes beyond simply matching dates?

- A** Choose the larger-looking font.
- B** Assume every index is a total-return index.
- C** Remove fee labels to shorten the slide.
- D** Verify currency, income treatment, and calculation method.

4. Which statement avoids a future-performance promise?

- A** The same excess return will occur next year.
- B** Past outperformance removes market risk.
- C** Six percent is the client's minimum future return.
- D** The result describes this historical period, not a guaranteed future outcome.

Answers and explanations: [page 84](#).

A six-percent return without the fee label

E Conversations / turns 1-10

05

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

net return / percentage point / total return / gross return / excess return / benchmark / coupon / attribution / time-weighted return / volatility

- 01 **Grace:** The slide shows six percent for the portfolio and five percent for the benchmark. It says outperformed by one percent, but I cannot see a fee label.
- 02 **Omar:** The portfolio figure is a ¹ _____. It is before fees, and the reporting file does not supply the net figure for this version.
- 03 **Grace:** Put that qualification beside the number. A client should not have to search the appendix to discover that the headline is not an after-fee result.
- 04 **Omar:** I will also change the difference to one ² _____. Saying one percent can suggest a relative calculation rather than the subtraction of six and five.
- 05 **Grace:** Before we call the result outperformance, are the period and measurement bases aligned? The dates match, but that may not settle currency or income treatment.
- 06 **Omar:** I need to verify the selected ³ _____ version and calculation method. Matching dates alone does not make every return series directly comparable.
- 07 **Grace:** Please check whether the index includes reinvested income. A price-only series would answer a different question from a series including both price changes and distributions.
- 08 **Omar:** Agreed. We should identify the ⁴ _____ treatment rather than assume it. The portfolio and reference need compatible descriptions before the client comparison is approved.
- 09 **Grace:** The account also had contributions during the period. We should know whether the performance method is intended to isolate investment results from the timing of those flows.
- 10 **Omar:** I will verify whether this is ⁵ _____ and confirm its calculation. I will not substitute a money-weighted figure without explaining the change in method.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 46.

- 11 **Grace:** Once the basis is checked, the reader may ask what drove the difference. We need more than a statement that the portfolio manager did well.
- 12 **Omar:** The ⁶ _____ report can help, provided we use its stated method. We should distinguish allocation and security-selection contributions rather than invent a narrative from the headline.
- 13 **Grace:** A sales colleague suggested saying the portfolio delivered higher returns with no added risk. Is the return comparison enough to support that statement?
- 14 **Omar:** No. It does not establish ⁷ _____ or other risk characteristics. We need the relevant risk measures and limitations before making any comparative risk claim.
- 15 **Grace:** The next slide shows a bond coupon. Please avoid presenting that contractual interest rate as though it were the investor's overall gain over the period.
- 16 **Omar:** Yes. The ⁸ _____ is not the same as total return. The explanation needs to distinguish income terms from the effect of price movement and other factors.
- 17 **Grace:** What will you do if the net figure is not ready by the internal review? We cannot silently assume it equals six percent just to complete the layout.
- 18 **Omar:** I will mark ⁹ _____ as unavailable for review and route the missing calculation to its owner. The client version will follow the required approval process.
- 19 **Grace:** Finally, remove the sentence implying that we will beat the benchmark again. We can describe the past result without offering a promise about the next year.
- 20 **Omar:** I will identify the one-percentage-point arithmetic gap as historical ¹⁰ _____, subject to the basis checks, and preserve the fee, period, and uncertainty labels in the revised slide.

ANSWERS / EXPLANATIONS: PAGE 85

1. gross return | 2. percentage point | 3. benchmark | 4. total return | 5. time-weighted return | 6. attribution | 7. volatility | 8. coupon | 9. net return | 10. excess return

Two years is not one year

F Say it

A report shows a 12% cumulative return over two years. It has not supplied an annualized calculation. The editor wants a short headline without changing the reported measure.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

basis / annualized / cumulative / period

Analyst: "The 12% figure is ¹ _____ over two years."

Editor: "Do not relabel it as an ² _____ rate."

Analyst: "The headline must keep the two-year ³ _____."

Editor: "Retain the calculation ⁴ _____ with the supporting report."

ANSWERS / EXPLANATIONS: PAGE 85

1. cumulative | 2. annualized | 3. period | 4. basis

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A credit review needs current borrower information

A Read the situation

Request specific financial evidence and explain its effect on a credit review without promising approval.

06

A lender will review a fictional borrower file on Thursday. The file contains audited statements for the prior December year-end but lacks the requested management accounts through 30 June. The team needs a balance sheet, income statement, and supporting debt schedule. Ellis, the credit analyst, asks Morgan, the relationship manager, to obtain them by Wednesday at 3 p.m. for internal preparation. The borrower has not confirmed delivery. No lending decision or exception to the information requirement is approved.

PEOPLE / Ellis: Credit analyst | Morgan: Relationship manager

MAKE THE REQUEST EXACT AND THE CONSEQUENCE PROPORTIONATE

A vague request for "latest financials" often produces the wrong period or document set. Specify the records, reporting date, purpose, and requested time. Explain an incomplete review without turning the missing information into an unsupported default finding or an automatic rejection.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which information is missing?

- | | |
|---|---|
| A Evidence that every loan is in default | B Management accounts through 30 June and the requested debt support |
| C All prior-year audited statements | D A completed Thursday approval |

2. What does Wednesday at 3 p.m. represent?

- | | |
|---|---------------------------------------|
| A The requested delivery time for internal preparation | B A confirmed borrower promise |
| C A contractual loan maturity | D A guaranteed approval time |

3. What decision has been approved?

- | | |
|--|---|
| A Immediate default classification | B Removal of all review requirements |
| C Neither lending approval nor an information exception | D Automatic approval if any file arrives |

Answers and explanations: page 86.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

borrower

A party receiving or seeking funds with repayment obligations.

IN USE assess the borrower's position

lender

A party providing or considering credit.

IN USE clarify the lender's requirements

credit file

Records supporting assessment and administration of credit.

IN USE complete the credit file

underwriting

Assessment of risk and terms before accepting an exposure.

IN USE support the underwriting review

credit committee

A body reviewing or deciding credit matters within its authority.

IN USE prepare the credit-committee pack

management accounts

Internally prepared financial information, not necessarily audited.

IN USE request current management accounts

audited statements

Financial statements accompanied by an independent audit opinion.

IN USE inspect the audited statements

interim period

A reporting interval shorter than a full financial year.

IN USE identify the interim reporting period

debt schedule

A listing of borrowings and relevant terms and balances.

IN USE reconcile the debt schedule

debt service

Principal and interest payments due under the relevant obligations.

IN USE assess scheduled debt service

DSCR

Debt service coverage ratio, comparing a defined cash-flow measure with debt service.

IN USE specify the DSCR definition

leverage ratio

A measure of debt relative to a specified earnings, asset, or equity base.

IN USE verify the leverage-ratio basis

Precision check

Audited December statements and unaudited June management accounts cover different periods and assurance levels. Describe each accurately. Receipt of a file does not establish completeness, reconciliation, reliable ratios, or credit approval.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

LTV

Loan-to-value ratio, comparing the loan with defined collateral value.

IN USE assess the LTV ratio

collateral

Assets pledged to support an obligation.

IN USE verify the collateral description

security interest

A legal interest in assets securing an obligation, subject to applicable law.

IN USE review the security-interest documentation

guarantor

A party undertaking a specified obligation if another party fails to perform.

IN USE assess the guarantor's capacity

maturity profile

The distribution of debt repayment dates.

IN USE review the maturity profile

refinancing risk

Risk that replacement funding is unavailable or unattractive when needed.

IN USE assess refinancing risk

counterparty risk

Risk of loss from another contracting party's failure to perform.

IN USE monitor counterparty risk

concentration risk

Risk arising from exposures sharing a borrower, sector, or other dependence.

IN USE assess customer concentration risk

probability of default

Estimated likelihood of default under a specified model and horizon.

IN USE state the probability-of-default horizon

loss given default

Estimated share of exposure lost if default occurs under stated assumptions.

IN USE evaluate loss given default

exposure at default

Estimated amount exposed when default occurs under the defined model.

IN USE calculate exposure at default

credit exception

A departure from a credit requirement requiring authorized assessment.

IN USE seek approval for a credit exception

Precision check

Credit ratios require specified definitions and periods. Collateral or a guarantee may affect risk but does not prove repayment. Missing documents may prevent a complete assessment; they do not by themselves establish default, fraud, or a final credit decision.

Phrases you can actually use

C Notice the language / 1 of 2

SPECIFY THE REQUEST

"Please obtain management accounts through 30 June."

EXPLAIN THE PURPOSE

"These records support Thursday's credit review."

PRESERVE STATUS

"The borrower has not yet confirmed that timing."

CLARIFY THE LIMITATION

"The current file does not support a complete interim assessment."

NAME THE COMPONENTS

"We need the balance sheet, income statement, and supporting debt schedule."

STATE THE REQUESTED TIME

"We have requested delivery by Wednesday at 3 p.m. for preparation."

AVOID A PROMISE

"Document delivery does not guarantee approval."

CLOSE THE REQUEST

"Please confirm what can be supplied and flag any missing component."

06

Through and as of

An income statement covers a period through a date; a balance sheet presents a position as of a date.

Requested versus confirmed

A requested delivery time is not a confirmed commitment from the borrower.

Latest is ambiguous

Name the reporting end date and components instead of relying on the word latest.

Phrases you can actually use

C Notice the language / 2 of 2

DISTINGUISH ASSURANCE

"These are management accounts, not audited interim statements."

DEFINE THE RATIO

"Which cash-flow and debt-service definitions are used for DSCR?"

SEPARATE DECISIONS

"Any exception requires its own authorized review."

TRACE SUPPORT

"Please reconcile the debt schedule to the reported balances."

CHECK THE PERIOD

"Does the income statement cover the six months ending 30 June?"

CHECK COMPLETENESS

"Does the schedule include all borrowings and upcoming repayments?"

AVOID A DEFAULT CLAIM

"The missing information does not itself establish a default."

CONFIRM RECEIPT

"We received the file; its completeness review is still pending."

Subject to review

Attach review status to receipt acknowledgments so arrival is not mistaken for acceptance of the information.

Ratio qualifiers

State which numerator, denominator, period, and adjustments a credit ratio uses.

No automatic inference

Incomplete means information is missing; it does not necessarily mean inaccurate, fraudulent, or in default.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which request is most precise for this case?

- A** Send the 30 June balance sheet, six-month income statement, and debt schedule.
- B** Send something recent when convenient.
- C** Resend December statements and call them June accounts.
- D** Confirm loan approval instead of supplying documents.

2. Which statement accurately describes the requested timing?

- A** Delivery is requested for Wednesday at 3 p.m.; the borrower has not confirmed.
- B** Delivery is guaranteed because the meeting is Thursday.
- C** The loan matures Wednesday at 3 p.m.
- D** Approval is automatic if a message arrives before Thursday.

3. Which label preserves assurance status?

- A** Audited because a spreadsheet is signed
- B** Guaranteed accurate because the borrower emailed them
- C** Final credit approval documentation
- D** Internally prepared management accounts, audit status not established

4. Which response avoids an unsupported credit conclusion?

- A** The file is incomplete for the requested review; no decision is approved.
- B** Missing June accounts prove default.
- C** December statements guarantee repayment.
- D** Collateral removes every lending risk.

Answers and explanations: [page 86](#).

A credit review needs current borrower information

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

06

WORD + PHRASE BANK

completeness review / management accounts / debt schedule / Audited statements / DSCR / credit file / maturity profile / Collateral / credit exception / requested deadline

- 01 **Morgan:** The borrower sent December's audited statements again. They believe that completes the request because those are the most recent documents signed by their external auditor.
- 02 **Ellis:** We still need the June ¹ _____. Specify the reporting date and required components rather than repeating latest financials, which they are interpreting differently.
- 03 **Morgan:** I will ask for the balance sheet as of June thirtieth and the income statement for the six months ending then. What support should accompany them?
- 04 **Ellis:** Include the ² _____, with balances and relevant repayment dates. It should reconcile to the accounts so we can understand the obligations rather than rely on a single total.
- 05 **Morgan:** We requested Wednesday at three for preparation before Thursday's meeting. The borrower has not confirmed whether that timing is possible, so I should not promise the pack is complete.
- 06 **Ellis:** Correct. Keep the ³ _____ distinct from confirmed delivery. Ask what they can provide and identify any component that will remain missing.
- 07 **Morgan:** If they send a signed spreadsheet, should I describe the June numbers as audited? The finance director's signature may make the document look more formal.
- 08 **Ellis:** No. ⁴ _____ have a different assurance status. Name the preparer and the actual review status without upgrading it because the file looks official.
- 09 **Morgan:** The relationship team wants to calculate coverage immediately from whichever figures arrive. I worry that they may mix annual debt payments with six months of cash flow.
- 10 **Ellis:** Specify the ⁵ _____ definition and period before quoting it. A ratio can look precise while comparing mismatched amounts or omitting required adjustments.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 55.

- 11 **Morgan:** We should also see which loans come due soon. A reasonable total debt balance may still hide several repayments concentrated in a short period.
- 12 **Ellis:** That is why the ⁶ _____ matters. Check dates and amounts, and identify any refinancing assumption rather than treating replacement borrowing as already available.
- 13 **Morgan:** One colleague says the pledged property makes the missing accounts unimportant. I can explain that security and repayment capacity are separate parts of the assessment.
- 14 **Ellis:** Exactly. ⁷ _____ does not replace current financial information. Its value, enforceability, and recovery assumptions also require appropriate review.
- 15 **Morgan:** What happens if the June package cannot arrive before the meeting? I need a clear message that does not sound like automatic rejection or a promise to waive requirements.
- 16 **Ellis:** Report the gap and route any proposed ⁸ _____ through the authorized process. Neither the meeting date nor the relationship team's preference approves an exception.
- 17 **Morgan:** I will avoid saying the borrower is in default just because a document is missing. Any contractual reporting issue would need its own assessment against the agreement.
- 18 **Ellis:** Correct. This update concerns an incomplete ⁹ _____, not an approved default determination. Separate the known information gap from legal or credit conclusions still requiring review.
- 19 **Morgan:** My request will name the three components, the June reporting date, the purpose, and the requested delivery time. I will confirm the borrower's response without promising approval.
- 20 **Ellis:** Good. On receipt, acknowledge delivery and begin the ¹⁰ _____. Keep receipt, validation, committee consideration, and lending authorization as separate statuses in the handoff.

06

ANSWERS / EXPLANATIONS: PAGE 87

1. management accounts | 2. debt schedule | 3. requested deadline | 4. Audited statements | 5. DSCR | 6. maturity profile | 7. Collateral | 8. credit exception | 9. credit file | 10. completeness review

A guarantee does not replace a current assessment

F Say it

A borrower offers a parent guarantee, but the guarantor financial information and guarantee wording are unreviewed. The credit team has not approved the loan or reliance on the guarantee.

06

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

approved / review / risk / wording

Manager: "The guarantee is offered, but reliance is not ¹ _____."

Analyst: "We need the guarantor's financial information and the actual ² _____."

Manager: "Do not describe the offer as eliminating credit ³ _____."

Analyst: "I will route the evidence through the authorized ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 87

1. approved | 2. wording | 3. risk | 4. review

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Three unmatched entries that happen to net to zero

A Read the situation

Hand off unresolved reconciliation items with evidence, ownership, and neutral risk language.

Yara is preparing a bank reconciliation for Noah to review. Three bank entries remain unmatched to ledger support: a \$1,200 receipt, a \$700 payment, and a \$500 payment. Their net amount is zero, but their individual causes are unknown. Yara has attached the bank references and a list of records already checked. No correcting entries, fraud conclusion, or reconciliation sign-off is approved. Noah will continue the review after Yara leaves.

PEOPLE / Yara: Reconciliation preparer | Noah: Reviewer

07

A CLEAN TOTAL IS NOT A COMPLETED CONTROL

A reviewer may ask why a zero difference remains open. Explain that individual transactions still need support and correct treatment. Keep observations separate from allegations, and preserve the work history so the next person can continue without guessing what was checked.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the net of the three unmatched bank entries?

A \$1,200

B Minus \$1,200

C Zero

D \$2,400

2. What remains unknown?

A Whether bank references are attached

B Who will continue the review

C The causes of the three unmatched items

D Whether the entries total zero

3. What can Yara accurately report?

A Approved correcting entries

B Three unresolved items with attached references and checks performed

C A signed-off reconciliation

D Confirmed fraud

[Answers and explanations: page 88.](#)

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

internal control

A process intended to provide reasonable assurance about specified objectives.

IN USE assess an internal control

control objective

The result a control is designed to support.

IN USE identify the control objective

control owner

The person accountable for the assigned control's operation.

IN USE confirm the control owner

control evidence

Records supporting that a control was performed and what it found.

IN USE retain control evidence

preventive control

A control designed to stop an error or unwanted event before it occurs.

IN USE evaluate a preventive control

detective control

A control designed to identify an error or unwanted event.

IN USE perform a detective control

segregation of duties

Separation of responsibilities to reduce error or misuse risk.

IN USE maintain segregation of duties

maker-checker

A process separating preparation from an independent check.

IN USE follow the maker-checker procedure

bank reconciliation

Comparison of bank and ledger records with explained differences.

IN USE complete a bank reconciliation

reconciling item

A difference identified between records being compared.

IN USE resolve a reconciling item

unmatched entry

A transaction lacking an identified counterpart or supporting match.

IN USE investigate an unmatched entry

suspense account

An account holding items temporarily pending appropriate classification.

IN USE clear supported suspense-account items

Precision check

The net difference is zero, but a receipt and two payments remain unsupported. Offsetting amounts do not prove that each transaction is valid, recorded, classified, or in the correct period. Do not clear unexplained items solely to obtain a clean total.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

aging

Classification of unresolved items or balances by time outstanding.

IN USE review the aging of open items

exception log

A record of deviations or unresolved items and their status.

IN USE update the exception log

root-cause analysis

Examination of the underlying reason a problem occurred.

IN USE document the root-cause analysis

corrective action

A step intended to resolve an identified problem.

IN USE approve corrective action

control deficiency

A weakness in a control's design or operation.

IN USE assess a potential control deficiency

material weakness

A serious internal-control category defined by the applicable reporting framework.

IN USE refer a material-weakness assessment

misstatement

An error or omission in reported financial information under the relevant framework.

IN USE assess a possible misstatement

fraud indicator

A sign warranting assessment of possible deliberate wrongdoing.

IN USE escalate a fraud indicator

professional skepticism

A questioning approach to evidence and possible misstatement.

IN USE apply professional skepticism

sign-off

Recorded confirmation that a specified review or approval is complete.

IN USE withhold sign-off pending resolution

remediation

Work to address an identified issue and its causes.

IN USE track remediation progress

whistleblowing channel

An authorized or protected route for reporting concerns under applicable arrangements.

IN USE identify the reporting channel

Precision check

An unmatched entry is an observation, not a finding of fraud. A control deficiency and a material weakness are also not interchangeable labels. Formal classification depends on the relevant framework, evidence, and qualified assessment.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE OPEN WORK

"Three entries remain unmatched despite a zero net difference."

SEPARATE ARITHMETIC

"The amounts offset, but the individual causes remain unknown."

LIMIT A CONCLUSION

"No fraud finding or corrective entry has been approved."

AVOID FORCED CLEARANCE

"We should not net unsupported items merely to close the reconciliation."

GIVE THE AMOUNTS

"The receipt is \$1,200; the payments are \$700 and \$500."

PRESERVE EVIDENCE

"Bank references and the records checked are attached."

ASSIGN CONTINUATION

"Noah will continue the review after this handoff."

CLOSE WITH STATUS

"Sign-off remains pending resolution and the required review."

Not found versus absent

Limit a search result to the records actually examined; an incomplete search does not prove universal absence.

Despite

"Unmatched despite a zero net difference" highlights why arithmetic completion is not evidential completion.

Observation verbs

Appears, shows, and remains unmatched report evidence without asserting deliberate wrongdoing.

Phrases you can actually use

C Notice the language / 2 of 2

NAME A REFERENCE

"Please use the bank transaction reference, not only the amount."

STATE A NEGATIVE FINDING

"I did not find a match in the records reviewed."

REQUEST CONFIRMATION

"Please acknowledge the three open items and next checks."

PRESERVE HISTORY

"Keep the original exception and the reason for any later correction."

DESCRIBE A CHECK

"I checked the ledger export through the stated cutoff."

AVOID OVERREACH

"Not found in this extract does not mean the transaction never occurred."

CHECK INDEPENDENCE

"The required reviewer must assess the proposed adjustment."

ESCALATE EVIDENCE

"Route any supported concern through the appropriate reporting process."

Sign-off scope

Identify which control or review is signed off; approval of one step does not complete every related process.

Cause language

Unknown cause is an explicit status, not an invitation to fill in a plausible explanation.

Handoff precision

Name the owner, references, checks performed, remaining work, and approval state.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which statement accurately separates total and support?

- A** The \$1,200 receipt cancels the need to review payments.
- B** A zero total authorizes removal of all three records.
- C** The entries net to zero, but each remains unmatched.
- D** Zero net difference proves every transaction is valid.

2. Which phrase reports the search result without overclaiming?

- A** Every possible record has been checked.
- B** No match was found in the ledger extract reviewed.
- C** The transaction never existed anywhere.
- D** The supplier definitely committed fraud.

3. Which action preserves the control?

- A** Sign off because Yara is leaving.
- B** Retain open items and route proposed corrections for independent review.
- C** Delete the exceptions to obtain a clean page.
- D** Post unsupported adjustments without approval.

4. Which classification is supported now?

- A** Confirmed material weakness
- B** Proven fraud
- C** Approved misstatement correction
- D** Unmatched entries with causes unknown

Answers and explanations: [page 88](#).

Three unmatched entries that happen to net to zero

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

corrective action / sign-off / fraud finding / status / audit trail / control evidence / segregation of duties / unmatched entries / reconciling item / exception log

07

- 01 **Noah:** Before you leave, tell me whether the reconciliation is complete. The summary shows a zero net difference, but I see three items on the exception list.
- 02 **Yara:** Those are still ¹ _____: a twelve-hundred-dollar receipt and payments of seven hundred and five hundred. Their amounts offset, but their causes remain unknown.
- 03 **Noah:** So zero describes the arithmetic, not the status of the underlying transactions. We should not remove them simply because they cancel one another in the summary.
- 04 **Yara:** Correct. Each ² _____ needs support and treatment. I have not proposed a correcting entry because the available records do not yet explain the differences.
- 05 **Noah:** What have you checked? I need enough detail to continue, especially the source version and cutoff, so I do not repeat work or rely on an incomplete extract.
- 06 **Yara:** The attached ³ _____ lists the bank references, ledger export, cutoff, and searches completed. No match appeared in those records; that is the limit of my conclusion.
- 07 **Noah:** Good. Not found in one extract is different from never recorded. We may need additional records or a different reference before deciding the accounting treatment.
- 08 **Yara:** I kept that distinction in the ⁴ _____. Each item remains open with its reference and amount, rather than being replaced by a single net-zero line.
- 09 **Noah:** A manager may ask whether this is fraud. We should take the unknown transactions seriously without labeling deliberate wrongdoing before the evidence supports that conclusion.
- 10 **Yara:** I have recorded no ⁵ _____. If further evidence raises a concern, it needs the appropriate escalation and assessment, not speculation added to the reconciliation comment.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 64.

- 11 **Noah:** Have any proposed adjustments been approved, or is the review still at the evidence-gathering stage? I want to avoid mistaking a prepared note for posting authorization.
- 12 **Yara:** No ⁶ _____ is approved. I have attached the work so far, but I have not posted entries or moved the amounts into another account to clear the list.
- 13 **Noah:** Keep it that way until we understand the treatment. A temporary holding account is not a substitute for identifying the transaction and following the relevant approval process.
- 14 **Yara:** Agreed. The ⁷ _____ remains pending. Leaving at the end of the day does not change the control's completion criteria or the need for your review.
- 15 **Noah:** I will take ownership of the next checks. If a correction is needed, the preparer and reviewer responsibilities should stay separate under our process.
- 16 **Yara:** That preserves ⁸ _____. I will remain available for questions about my work, but the evidence should allow you to assess the proposal independently.
- 17 **Noah:** After resolution, retain how we identified the cause and why the final treatment was selected. We should not erase the original exception history.
- 18 **Yara:** I will preserve the ⁹ _____. The final status can change, while the record of the original difference and supporting decision remains traceable.
- 19 **Noah:** Please summarize the handoff in one sentence so I can confirm I have the three items, the evidence, and the unresolved approval state correctly.
- 20 **Yara:** Three items remain open with causes unknown, references and checks attached, no entries approved, and you owning the next review. That is the current ¹⁰ _____, despite the zero net difference.

07

ANSWERS / EXPLANATIONS: PAGE 89

1. unmatched entries | 2. reconciling item | 3. control evidence | 4. exception log | 5. fraud finding | 6. corrective action | 7. sign-off | 8. segregation of duties | 9. audit trail | 10. status

A matching amount is not a matching transaction

F Say it

Two unrelated payments are each \$800. One has full supporting references; the other has no identified invoice. The reviewer has not approved treating them as the same transaction.

Complete the four gaps. Use each bank entry once.

07

WORD + PHRASE BANK

open / evidence / amount / reference

Preparer: "The equal ¹ _____ does not establish a common transaction."

Reviewer: "Check the payee and transaction ² _____."

Preparer: "The unsupported item remains ³ _____."

Reviewer: "Do not clear it without sufficient ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 89

1. amount | 2. reference | 3. open | 4. evidence

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A valuation slide showing only the higher case

A Read the situation

Present valuation sensitivity and distinguish modeled enterprise value from a transaction price.

A fictional discounted-cash-flow model estimates enterprise value at \$20 million using 2% terminal growth and \$30 million using 4% terminal growth. Other modeled inputs are unchanged, including the 9% discount rate. Both are scenarios, not offers. The presentation currently shows only \$30 million. Daniel, a corporate-finance analyst, and Aisha, the chief financial officer, review the slide. The illustrative enterprise-to-equity bridge deducts \$3 million of net debt and assumes no other adjustments. No acquisition or financing decision is approved.

PEOPLE / Daniel: Corporate-finance analyst | Aisha: Chief financial officer

08

MAKE SENSITIVITY VISIBLE BEFORE DEFENDING A SINGLE NUMBER

Executives may ask for one decisive figure, but a model-dependent range can be the more accurate answer. Explain what changed between cases and what stayed constant. A valuation output supports a decision; it is not an offer, an approved bid, or proof of a future sale price.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which input changes between the two stated scenarios?

- | | |
|---|---------------------------------------|
| A Net debt, from \$3 million to \$30 million | B Every forecast input |
| C Terminal growth, from 2% to 4% | D Discount rate, from 2% to 9% |

2. What does the \$30 million figure represent?

- | | |
|---|--|
| A A guaranteed future sale value | B Modeled enterprise value in the 4% terminal-growth case |
| C An accepted purchase price | D Equity value after debt |

3. What is equity value in the higher case under the stated simplified bridge?

- | | |
|-----------------------|-----------------------|
| A \$33 million | B \$30 million |
| C \$3 million | D \$27 million |

Answers and explanations: page 90.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

valuation

An estimate of value using specified methods and assumptions.

IN USE explain the valuation basis

DCF

Discounted cash flow, estimating value from projected cash flows and a discount rate.

IN USE review the DCF assumptions

discount rate

A rate used to convert future cash flows to present value.

IN USE test the discount-rate assumption

WACC

Weighted average cost of capital, combining funding costs using defined weights.

IN USE assess the WACC input

present value

Today's modeled equivalent of future cash flows under a discount rate.

IN USE calculate present value

terminal value

Value assigned beyond an explicit forecast horizon.

IN USE test the terminal-value contribution

terminal growth

The assumed growth rate used for the continuing period in a model.

IN USE justify the terminal-growth assumption

free cash flow

A cash-flow measure after defined operating and investment needs.

IN USE define the free-cash-flow measure

enterprise value

Value attributed to the operating business before the specified financing adjustments.

IN USE bridge enterprise value to equity value

equity value

Value attributable to equity holders after relevant adjustments.

IN USE reconcile equity value

net debt

Debt less the cash or cash-like items included in the chosen definition.

IN USE verify the net-debt definition

valuation multiple

A ratio relating value to a specified financial or operating measure.

IN USE compare valuation multiples

Precision check

The \$20 million and \$30 million values are conditional model outputs. Holding other inputs constant isolates the modeled sensitivity to terminal growth, but does not prove either growth assumption is achievable or that a buyer will pay either amount.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

comparable companies

Businesses selected as relevant valuation references.

IN USE screen comparable companies

precedent transactions

Past deals used as valuation references after comparability review.

IN USE analyze precedent transactions

sensitivity analysis

Testing how a result changes when selected inputs change.

IN USE present sensitivity analysis

base-case valuation

The value produced by the selected central scenario.

IN USE qualify the base-case valuation

NPV

Net present value, discounted net cash flows including the investment on a stated basis.

IN USE evaluate project NPV

IRR

Internal rate of return, a rate making the modeled NPV zero where such a rate exists.

IN USE compare IRR with the stated hurdle

hurdle rate

A specified minimum return criterion for a decision.

IN USE confirm the hurdle rate

capital allocation

Decisions about committing resources among uses.

IN USE support capital-allocation decisions

capital expenditure

Spending on assets under the applicable accounting and planning definitions.

IN USE forecast capital expenditure

synergy

A benefit expected from combining operations or capabilities.

IN USE challenge the synergy estimate

due diligence

Investigation of relevant information before a proposed transaction.

IN USE complete financial due diligence

accretion and dilution

Increases or decreases in a specified per-share measure after a transaction.

IN USE distinguish EPS accretion from value creation

08

Precision check

Under this deliberately simplified case, \$30 million enterprise value less \$3 million net debt gives \$27 million equity value. Actual transaction bridges can include additional adjustments. A deal that increases earnings per share is not automatically value-creating.

Phrases you can actually use

C Notice the language / 1 of 2

PRESENT BOTH CASES

"The model gives \$20 million at 2% terminal growth and \$30 million at 4%."

STATE THE SENSITIVITY

"The output is sensitive to the continuing-growth assumption."

EXPLAIN THE BRIDGE

"The illustrative equity bridge deducts \$3 million of net debt."

SEPARATE AUTHORITY

"No acquisition or financing decision has been approved."

NAME THE CONSTANT

"The discount rate remains 9% in both scenarios."

AVOID A PRICE CLAIM

"These are modeled values, not offers or agreed transaction prices."

LIMIT THE SIMPLIFICATION

"This example assumes no other adjustments."

CLOSE WITH EVIDENCE

"We need support for the assumptions before recommending a decision."

08

At versus by

Value is \$30 million at 4% growth; it does not rise by only 4% merely because that is the input.

Holding constant

Name what stays unchanged when isolating sensitivity to one input.

Modeled versus offered

A modeled value comes from assumptions; an offer comes from a negotiating party.

Phrases you can actually use

C Notice the language / 2 of 2

CHALLENGE SELECTION

"Why does the slide show only the higher case?"

TEST A DRIVER

"Which input change produces the difference between these outputs?"

QUALIFY SYNERGIES

"The benefits are modeled assumptions, not realized cash flows."

SEPARATE OUTCOMES

"Earnings-per-share accretion is not proof of value creation."

DEFINE THE METRIC

"Is that enterprise value or value attributable to equity holders?"

PRESERVE CONTEXT

"Keep the growth and discount-rate assumptions beside the values."

COMPARE METHODS

"Do the selected comparable companies have relevant business and risk characteristics?"

MAKE UNCERTAINTY USABLE

"The range identifies an assumption requiring review, not a guaranteed pricing interval."

08

Before and after

Specify whether the number is before or after net debt and other transaction adjustments.

Range language

A scenario range is not automatically a probability interval or a guaranteed minimum and maximum.

Value creation

A positive movement in one accounting metric does not establish an attractive investment on every relevant basis.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which revision most accurately presents the valuation?

- A** Show both values with their growth assumptions and the unchanged discount rate.
- B** Show \$30 million as a guaranteed selling price.
- C** Hide the \$20 million case because it is lower.
- D** Relabel both scenarios as accepted bids.

2. Which arithmetic follows the case's simplified equity bridge?

- A** Net debt has no role because the model uses cash flows.
- B** \$30 million minus \$3 million equals \$27 million.
- C** \$30 million plus \$3 million equals \$33 million.
- D** \$30 million divided by 4% is equity value.

3. Which statement properly limits the scenario range?

- A** It shows outcomes under stated assumptions, not a guaranteed pricing interval.
- B** It proves every buyer will pay between the two values.
- C** It establishes a 100% probability of a \$30 million sale.
- D** It eliminates the need to review growth assumptions.

4. Which question tests a synergy claim?

- A** Can we omit integration costs because they are inconvenient?
- B** Does a larger font make the benefit more achievable?
- C** What evidence, timing, cost, and dependencies support the modeled benefit?
- D** Can we call every benefit certain?

Answers and explanations: page 90.

A valuation slide showing only the higher case

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

synergies / net debt / terminal growth / equity value / sensitivity analysis / capital allocation / discount rate / due diligence / enterprise value / accretion

08

- 01 **Aisha:** The executive slide shows thirty million dollars. Before we discuss a bid, tell me which value that is and what assumption produces it in the model.
- 02 **Daniel:** It is ¹ _____ under the four-percent terminal-growth case. The two-percent case gives twenty million, but that lower output is missing from the current slide.
- 03 **Aisha:** Show both. Are any other inputs changing, or can the audience attribute the difference to growth alone within this particular comparison?
- 04 **Daniel:** The ² _____ remains nine percent, and the other modeled inputs are unchanged. This comparison isolates the model's response to the terminal-growth assumption.
- 05 **Aisha:** Then make that sensitivity explicit. A ten-million-dollar difference should not be presented as extra value we have already created or secured from a buyer.
- 06 **Daniel:** I will describe the ³ _____ and keep the input labels beside the outputs. Neither result is an offer, and neither guarantees a transaction price.
- 07 **Aisha:** What support do we have for four-percent continuing growth? I do not want the preferred number to become the basis for choosing the assumption backward.
- 08 **Daniel:** The ⁴ _____ input still needs review against the business and model context. The higher scenario is available for analysis, not established as the most likely outcome.
- 09 **Aisha:** The audience may also confuse business value with the amount attributable to shareholders. Show the bridge and identify exactly which adjustments this example includes.
- 10 **Daniel:** The simplified bridge deducts three million of ⁵ _____ and assumes no other adjustments. That gives twenty-seven million in the higher case and seventeen million in the lower one.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 73.

- 11 **Aisha:** Keep the simplification visible. Actual deal adjustments may differ, and the slide must not imply that this training calculation settles every component of transaction proceeds.
- 12 **Daniel:** Agreed. I will label the resulting figures ⁶ _____ under the stated bridge, not cash proceeds guaranteed to each shareholder or an approved purchase consideration.
- 13 **Aisha:** A team member wants to add synergies to the higher value without changing the cost assumptions. Have the benefits, implementation costs, and timing been assessed?
- 14 **Daniel:** No. The proposed ⁷ _____ are not verified. We should not add the benefits while omitting the costs and dependencies needed to achieve them.
- 15 **Aisha:** That also affects how we compare this transaction with other uses of funds. The largest model output is not automatically the best capital decision.
- 16 **Daniel:** The ⁸ _____ discussion needs consistent assumptions and relevant alternatives. We should identify what further evidence would support a recommendation instead of treating the model as authorization.
- 17 **Aisha:** One presenter says the transaction would increase earnings per share, so it must create value. That sentence needs a more careful distinction.
- 18 **Daniel:** I will separate ⁹ _____ in the stated accounting metric from value creation. The financing structure, price, risk, and cash-flow assumptions still matter to the investment assessment.
- 19 **Aisha:** Revise the slide with both scenarios, the debt bridge, and the assumptions requiring review. No bid or financing commitment should be implied by the presentation.
- 20 **Daniel:** I will preserve that approval boundary and list the outstanding ¹⁰ _____. The pack will support an informed decision without turning conditional model outputs into promises or approvals.

ANSWERS / EXPLANATIONS: PAGE 91

1. enterprise value | 2. discount rate | 3. sensitivity analysis | 4. terminal growth | 5. net debt | 6. equity value | 7. synergies | 8. capital allocation | 9. accretion | 10. due diligence

The higher project return has different assumptions

F Say it

Project A and Project B have modeled returns based on different forecast periods and cost inclusions. No comparable analysis or investment approval is complete. The presenter wants to rank them by the headline rates.

Complete the four gaps. Use each bank entry once.

08

WORD + PHRASE BANK

provisional / bases / costs / approval

Analyst: "The headline rates use different calculation ¹ _____."

Director: "Align the periods and included ² _____ before comparing."

Analyst: "The ranking remains ³ _____ until that review."

Director: "A model result does not itself provide investment ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 91

1. bases | 2. costs | 3. provisional | 4. approval

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

01 Briefing and language checks

Finance Communication: Drivers, Assumptions, Materiality, Risk

A Briefing checks / page 4

1. What is actual operating profit in this case?

C. \$196,000

Actual revenue of \$1,050,000 less operating costs of \$854,000 gives operating profit of \$196,000.

2. How much did costs exceed budget?

B. \$54,000

Subtract budgeted costs of \$800,000 from actual costs of \$854,000; the category increases also total \$54,000.

3. Which question remains unresolved?

A. How much of the cost increase reflects rate versus volume

The briefing verifies category amounts but explicitly leaves rate, volume, and recurrence analysis incomplete.

D Language checks / page 9

1. Which sentence correctly explains the profit movement?

A. Costs rose \$54,000, exceeding the \$50,000 revenue gain by \$4,000.

The dollar bridge reconciles the \$4,000 profit shortfall without mixing percentages with different bases.

2. Which expression accurately describes the revenue comparison?

C. Five percent above the month's budget

The \$50,000 increase is 5% of the \$1,000,000 monthly budget, not a different period or unit.

3. Which statement preserves the unresolved cause?

A. The categories are verified; rate and volume effects are not yet separated.

Only the categories are established; attributing specific causes would go beyond the stated review.

4. Which question usefully tests the one-off label?

B. What evidence shows the cost will not recur under the forecast assumptions?

Recurrence is an evidence and assumption question, not a formatting choice or preference for a better result.

01 Conversation answers

Finance Communication: Drivers, Assumptions, Materiality, Risk

E Dialogue gaps

Pages 10-11

- 1. offset.** Turn 2. An offset counteracts another movement; here the cost increase exceeds the revenue gain and reduces profit.
- 2. comparator.** Turn 4. The comparator is the reference used for the measurement, here the same month's budget rather than last year.
- 3. variance.** Turn 6. Variance is the difference from the stated reference; the two verified category amounts reconcile the total cost increase.
- 4. volume effect.** Turn 8. The volume effect relates to changed quantities or activity; it must be separated from unit-rate changes before attributing the increase.
- 5. one-off.** Turn 10. One-off claims nonrecurrence; one unusual event does not establish that all costs in the categories will disappear.
- 6. run rate.** Turn 12. A run rate projects a pace from selected activity; untested recurrence makes automatic extrapolation unreliable.
- 7. Operating margin.** Turn 14. Operating margin relates operating profit to revenue; it can decline even when the revenue amount increases.
- 8. Materiality.** Turn 16. Materiality depends on context and qualitative factors as well as size; a single percentage does not settle significance.
- 9. drivers.** Turn 18. Drivers explain the contributing factors; rate, volume, and recurrence checks turn category totals into a more useful causal account.
- 10. basis.** Turn 20. The basis identifies the period, currency, scope, and definitions that make the figures comparable and interpretable.

F Transfer conversation

Page 12

1. costs

Analyst: "The dollar gain comes from lower costs, not higher sales."

Unchanged revenue and a \$10,000 cost reduction explain the \$10,000 increase in operating profit.

2. increase

Director: "The margin rises from 10% to 12%, a two-percentage-point increase."

The difference between the two margin percentages is two percentage points, not a two percent relative change.

3. denominator

Analyst: "I will keep the revenue denominator unchanged in the comparison."

Each margin divides profit by the same \$500,000 revenue, making the ratio comparison consistent.

4. forecast

Director: "Confirm whether the savings recur before changing the forecast."

A historical cost reduction does not automatically establish the future pattern used in a forecast.

02 Briefing and language checks

Financial Statements, Close, and Accounting Judgments

A Briefing checks / page 13

1. In which month did the cash payment occur?

A. January

The invoice was paid on 20 January; that cash date is distinct from service delivery and expense recognition.

2. What checks are required before the December entry is confirmed?

D. Service completion and whether an accrual already exists

Completion evidence supports the case policy, and the prior-accrual check prevents duplicate recognition.

3. What entry has been approved?

C. No new journal entry

The briefing explicitly leaves the new entry unapproved pending the specified accounting checks.

D Language checks / page 18

1. Which question best clarifies the ambiguous month request?

A. Do you mean the expense period or the payment month?

The correct question identifies the two distinct reporting purposes before selecting a date.

2. Which statement follows the case facts?

D. Cash was paid in January; the expense-period check uses the service facts and policy.

It preserves the known cash date and the separate policy-based accounting review.

3. Which check helps prevent duplicate expense recognition?

A. Search for the existing accrual and its reversal.

An existing accrual may already recognize the expense, so its status matters before adding another entry.

4. Which phrase accurately describes the proposed journal?

B. Prepared for review, not approved for posting

The required supporting checks and approval remain incomplete even if a draft journal is mathematically balanced.

02 Conversation answers

Financial Statements, Close, and Accounting Judgments

E Dialogue gaps

Pages 19-20

1. expense recognition. Turn 2. Expense recognition records the cost in the relevant reporting period; it is not determined solely by when cash is paid.

2. cutoff. Turn 4. Cutoff assigns a transaction to the proper accounting period; completion evidence helps apply the stated service-receipt policy.

3. accrual. Turn 6. An accrual may already recognize the service cost before payment; checking it prevents recording the same expense twice.

4. general ledger. Turn 8. The general ledger records postings; a supporting estimate does not by itself establish that an entry was posted.

5. reversing entry. Turn 10. A reversing entry offsets an earlier entry; its timing affects how the later invoice should be reconciled.

6. cash flow. Turn 12. Cash flow concerns actual cash movements; January payment remains distinct from the accounting period of the expense.

7. true-up. Turn 14. A true-up aligns an estimate with updated evidence; it is not automatically a second full recognition of the cost.

8. journal entry. Turn 16. A journal entry can have equal debits and credits while still using an incorrect period, account, amount, or unsupported basis.

9. audit trail. Turn 18. An audit trail connects the transaction, evidence, entries, and approvals so another reviewer can trace the decision.

10. handoff. Turn 20. The handoff identifies known timing, applicable policy, unfinished checks, and the unapproved entry rather than falsely announcing a completed close.

F Transfer conversation

Page 21

1. prepayment

Accountant: "December payment creates a prepayment under the stated policy."

The case policy treats the advance payment as an asset before the future service months are expensed.

2. January

Controller: "The service period begins in January."

January is the first month covered, despite the earlier December cash payment.

3. schedule

Accountant: "The monthly release is \$1,000, supported by the schedule."

The six-month schedule allocates the stated \$6,000 according to the expressly supplied case policy.

4. recognition

Controller: "Keep the cash date distinct from expense recognition."

Cash payment and recording the expense have different timing under this case's advance-payment policy.

03 Briefing and language checks

FP&A, Budgeting, Forecasting, and Variance Analysis

A Briefing checks / page 22

1. How far is the full-year forecast above budget?

B. \$20,000

The \$120,000 forecast minus the \$100,000 budget gives a \$20,000 unfavorable spending variance.

2. How much remains unattributed?

D. \$5,000

The supplier fee explains \$15,000 of the \$20,000 increase, leaving \$5,000 for investigation.

3. What does the new forecast authorize?

B. No budget increase or savings action by itself

A forecast estimates expected performance; the briefing expressly leaves budget and action approvals incomplete.

D Language checks / page 27

1. Which update keeps the residual honest?

B. The fee explains \$15,000; \$5,000 remains unattributed.

Only \$15,000 has an identified driver, so attributing the balance invents evidence.

2. Which description fits the \$120,000 figure?

B. Full-year forecast including actuals and estimated remaining spending

The briefing defines the figure as an estimate combining completed and future periods, not cash or authorization.

3. Which question distinguishes phasing from a real annual change?

D. Will the cost still occur within the same full year?

A delay within the same year may change monthly timing without reducing annual spending.

4. Which sentence preserves budget authority?

D. The forecast is updated; the approved budget remains \$100,000.

Forecasting expected expenditure and authorizing a budget change are separate processes.

03 Conversation answers

FP&A, Budgeting, Forecasting, and Variance Analysis

03

E Dialogue gaps

Pages 28-29

- 1. forecast.** Turn 2. A forecast estimates the expected result; it does not itself request or authorize a revised spending limit.
- 2. bridge.** Turn 4. A bridge reconciles a starting amount to an ending amount through components, including any explicitly unresolved balance.
- 3. residual.** Turn 6. The residual is the amount not explained by identified components; it should not receive a causal label without evidence.
- 4. remaining-year estimate.** Turn 8. The remaining-year estimate covers future spending; checking its contents helps prevent adding the same supplier fee twice.
- 5. actuals.** Turn 10. Actuals are recorded results for elapsed periods, unlike estimates for the remaining period in the full-year forecast.
- 6. phasing.** Turn 12. Phasing distributes an amount across periods; moving it within the same year does not necessarily reduce the annual total.
- 7. plug.** Turn 14. A plug inserts an unsupported amount to make a result fit; an unconfirmed savings target cannot be treated as a verified reduction.
- 8. baseline.** Turn 16. The baseline is the defined comparison reference; retaining it makes successive explanations of the forecast movement traceable.
- 9. structural variance.** Turn 18. A structural variance reflects an underlying change rather than a timing shift; recurrence needs evidence before informing the next plan.
- 10. attribution.** Turn 20. Attribution assigns the movement to supported sources; completing it explains the residual rather than merely making the arithmetic balance.

F Transfer conversation

Page 30

1. phasing

Analyst: "The move changes monthly phasing, not the annual amount."

The purchase moves between months in the same year without changing its stated cost.

2. saving

Manager: "Do not describe the March reduction as a confirmed saving."

The purchase remains in the plan, so lower March spending does not establish an annual saving.

3. forecast

Analyst: "The full-year forecast still includes \$9,000."

The unchanged purchase remains expected within the year and therefore belongs in the full-year estimate.

4. record

Manager: "Retain the purchase's approval and timing record."

A traceable record preserves what changed and avoids implying that the purchase was canceled.

04 Briefing and language checks

Treasury, Cash, Liquidity, Working Capital, and FX

A Briefing checks / page 31

1. What is forecast closing cash if the receipt arrives as assumed?

A. \$30,000

Opening cash of \$80,000 plus the \$50,000 receipt less \$100,000 of outflows gives \$30,000.

2. What happens in the stated no-receipt calculation?

A. A \$20,000 shortfall

Without the receipt, \$80,000 minus \$100,000 is negative \$20,000; no mitigation is approved.

3. What has not been verified about the facility?

C. Undrawn availability and draw conditions

The briefing confirms existence only, not usable availability or satisfaction of drawing conditions.

D Language checks / page 36

1. Which sentence preserves the receipt condition?

A. Closing cash is forecast at \$30,000 if the \$50,000 arrives Friday.

The conditional sentence keeps the unconfirmed receipt attached to the resulting balance.

2. Which calculation describes the delayed-receipt case?

A. \$80,000 minus \$100,000 equals a \$20,000 shortfall.

The case removes only the unconfirmed receipt, leaving a negative \$20,000 balance before any approved mitigation.

3. What must be checked before counting the facility as usable funding?

D. Availability, conditions, timing, and authorization

The facility's existence does not establish that a timely, permitted draw is currently available.

4. Which statement separates cash from profit?

A. Profit does not itself confirm funds available for the scheduled payments.

Profit and cash access measure different things; payment timing and restrictions can still create a liquidity gap.

04 Conversation answers

Treasury, Cash, Liquidity, Working Capital, and FX

E Dialogue gaps

Pages 37-38

1. base case. Turn 2. The base case uses the selected planning assumptions, including the unconfirmed customer receipt; it is not a guaranteed outcome.

2. shortfall. Turn 4. The shortfall is the gap between the available \$80,000 and the \$100,000 scheduled outflows when the receipt is excluded.

3. settlement date. Turn 6. The settlement date concerns transaction completion; confirming it is more informative than assuming a forecasted receipt is already available.

4. undrawn availability. Turn 8. Undrawn availability depends on current limits and conditions; past use or an existing agreement does not establish usable funds now.

5. drawdown. Turn 10. A drawdown is borrowing under a facility; its amount, conditions, timing, and approval must support the proposed funding use.

6. outflows. Turn 12. Outflows are planned cash payments; changing their dates requires support and authority rather than a cosmetic forecast adjustment.

7. available cash. Turn 14. Available cash is accessible for the relevant purpose; restricted funds should not be silently included in a spendable opening balance.

8. liquidity. Turn 16. Liquidity concerns meeting obligations when due; accounting profit does not establish timely access to funds for the scheduled payments.

9. headroom. Turn 18. Headroom measures remaining capacity against a defined limit; its calculation must follow the actual agreement rather than a guessed ceiling.

10. dependency. Turn 20. The dependency is the receipt on which the positive closing balance relies; naming it makes the unresolved funding exposure visible.

F Transfer conversation

Page 39

1. balance

Analyst: "Exclude the Monday receipt from Friday's closing balance."

The later receipt cannot be counted as Friday funds under the stated timing.

2. shortfall

Manager: "Friday therefore shows a \$15,000 cash shortfall."

Available \$40,000 less \$55,000 of outflows leaves a \$15,000 funding gap.

3. approval

Analyst: "I will present possible funding options without implying approval."

The case leaves all alternatives unapproved, so identifying an option is not authority to execute it.

4. timing

Manager: "Keep Monday's receipt and its confirmed timing in the update."

The receipt still matters to the forecast, but its actual Monday timing must remain explicit.

04

05 Briefing and language checks

Markets, Investments, Performance, and Client Communication

A Briefing checks / page 40

1. What does the 6% measure represent?

C. The portfolio return before fees for the stated period

The briefing identifies 6% as historical portfolio performance before fees, not net performance or a forecast.

2. What is the arithmetic difference between 6% and 5%?

B. One percentage point

Subtracting the two return percentages gives one percentage point, equivalent to 100 basis points.

3. What is missing before the full comparison can be approved?

A. Net-return information and the required basis checks

The case supplies period and gross return but leaves net performance and currency and method consistency unverified.

D Language checks / page 45

1. Which headline preserves the known fee treatment?

B. Portfolio return: 6% before fees for the stated twelve months

Only the first headline retains the stated historical period and before-fees basis without inventing net performance.

2. How should the arithmetic gap be expressed?

D. One percentage point, or 100 basis points

The subtraction is 6% minus 5%, producing a one-percentage-point difference, not a one-percent relative increase.

3. Which check goes beyond simply matching dates?

D. Verify currency, income treatment, and calculation method.

A meaningful comparison also needs compatible scope and methods, not just an identical reporting interval.

4. Which statement avoids a future-performance promise?

D. The result describes this historical period, not a guaranteed future outcome.

Historical observations do not establish a guaranteed future return or eliminate investment risk.

05 Conversation answers

Markets, Investments, Performance, and Client Communication

E Dialogue gaps

Pages 46-47

1. gross return. Turn 2. Gross return is before specified fees or costs; omitting the label could make readers mistake it for their after-fee result.

2. percentage point. Turn 4. A percentage point measures the arithmetic difference between quoted percentages; 6% minus 5% equals one point.

3. benchmark. Turn 6. The benchmark is the comparison reference; its specific version and measurement basis matter to a fair performance comparison.

4. total return. Turn 8. Total return includes income and price movement under its method; it differs from a price-only measure.

5. time-weighted return. Turn 10. Time-weighted return aims to reduce external cash-flow timing effects; the method must be identified rather than guessed from the percentage.

6. attribution. Turn 12. Attribution allocates performance to specified contributing factors, providing an analysis beyond a favorable headline comparison.

7. volatility. Turn 14. Volatility measures variability; a higher return alone does not establish that variability or other risks were lower.

8. coupon. Turn 16. The coupon describes bond interest terms; total investor return can also reflect price movements, fees, and other factors.

9. net return. Turn 18. Net return incorporates the specified fee or cost treatment; the unavailable figure must not be inferred to equal the gross result.

10. excess return. Turn 20. Excess return is relative performance against a benchmark on a consistent basis; a historical result is not a future guarantee.

F Transfer conversation

Page 48

1. cumulative

Analyst: "The 12% figure is cumulative over two years."

Cumulative identifies the total change across the stated two-year interval, not a one-year equivalent.

2. annualized

Editor: "Do not relabel it as an annualized rate."

Annualization requires an appropriate calculation; changing the label alone changes the meaning incorrectly.

3. period

Analyst: "The headline must keep the two-year period."

The interval is essential context for interpreting the magnitude of the reported return.

4. basis

Editor: "Retain the calculation basis with the supporting report."

The method and assumptions must remain traceable so the headline can be checked against the reported measure.

05

06 Briefing and language checks

Banking, Credit, Lending, and Counterparty Risk

A Briefing checks / page 49

1. Which information is missing?

B. Management accounts through 30 June and the requested debt support

The existing December statements do not replace the requested current interim information and supporting schedule.

2. What does Wednesday at 3 p.m. represent?

A. The requested delivery time for internal preparation

The analyst requests that time, but the borrower has not confirmed delivery and it is not a lending commitment.

3. What decision has been approved?

C. Neither lending approval nor an information exception

The briefing leaves both the credit decision and any exception to the information requirement unapproved.

D Language checks / page 54

1. Which request is most precise for this case?

A. Send the 30 June balance sheet, six-month income statement, and debt schedule.

The first request names the required reporting date and components, avoiding an ambiguous request for recent information.

2. Which statement accurately describes the requested timing?

A. Delivery is requested for Wednesday at 3 p.m.; the borrower has not confirmed.

It separates the internal preparation request from a borrower commitment or a credit decision.

3. Which label preserves assurance status?

D. Internally prepared management accounts, audit status not established

Management accounts do not acquire independent audit assurance merely through preparation, signature, or receipt.

4. Which response avoids an unsupported credit conclusion?

A. The file is incomplete for the requested review; no decision is approved.

The case supports an information gap, not default, assured repayment, or elimination of risk.

06 Conversation answers

Banking, Credit, Lending, and Counterparty Risk

E Dialogue gaps

Pages 55-56

- 1. management accounts.** Turn 2. Management accounts provide internally prepared interim information; December audited statements do not replace the requested June period.
- 2. debt schedule.** Turn 4. The debt schedule details borrowing balances and terms, supporting assessment beyond the headline statement totals.
- 3. requested deadline.** Turn 6. The requested deadline is an internal preparation need communicated to the borrower, not a confirmed commitment or a loan maturity.
- 4. Audited statements.** Turn 8. Audited statements have independent audit assurance; a manager's signature on internal accounts does not create that status.
- 5. DSCR.** Turn 10. DSCR compares a defined cash-flow measure with debt service; mixing inconsistent periods can make the ratio misleading.
- 6. maturity profile.** Turn 12. The maturity profile shows repayment timing, revealing concentrations that a single total debt balance can conceal.
- 7. Collateral.** Turn 14. Collateral supports an obligation but does not establish the borrower's cash generation or eliminate valuation and recovery risk.
- 8. credit exception.** Turn 16. A credit exception is a departure from a requirement requiring authorized review; it cannot be granted informally to meet a meeting date.
- 9. credit file.** Turn 18. The credit file holds review evidence; missing information limits the assessment without itself proving default or another adverse conclusion.
- 10. completeness review.** Turn 20. A completeness review checks whether the requested information is present and usable; receiving a file does not itself complete underwriting or approve credit.

F Transfer conversation

Page 57

1. approved

Manager: "The guarantee is offered, but reliance is not approved."

The case explicitly leaves both the loan and reliance on the guarantee without approval.

2. wording

Analyst: "We need the guarantor's financial information and the actual wording."

Capacity and the scope of the promised obligation require evidence, not merely the label guarantee.

3. risk

Manager: "Do not describe the offer as eliminating credit risk."

An unreviewed guarantee does not establish that all default, performance, or recovery risks disappear.

4. review

Analyst: "I will route the evidence through the authorized review."

The information must be assessed by the assigned process before reliance or lending decisions are made.

06

07 Briefing and language checks

Controls, Audit, Compliance, Fraud, and Ethics

A Briefing checks / page 58

1. What is the net of the three unmatched bank entries?

C. Zero

The \$1,200 receipt less payments of \$700 and \$500 nets to zero, but individual support is still missing.

2. What remains unknown?

C. The causes of the three unmatched items

The case identifies the amounts and handoff owner but leaves the individual causes unresolved.

3. What can Yara accurately report?

B. Three unresolved items with attached references and checks performed

Only the unresolved status and documented work are supported; conclusions and adjustments remain unapproved.

D Language checks / page 63

1. Which statement accurately separates total and support?

C. The entries net to zero, but each remains unmatched.

Netting is arithmetic; it does not establish the individual transactions' validity or correct accounting.

2. Which phrase reports the search result without overclaiming?

B. No match was found in the ledger extract reviewed.

The bounded statement identifies the scope of the actual search instead of making unsupported universal or misconduct claims.

3. Which action preserves the control?

B. Retain open items and route proposed corrections for independent review.

Unresolved items need evidence and required review; convenience or balanced totals do not replace control completion.

4. Which classification is supported now?

D. Unmatched entries with causes unknown

The facts establish unresolved matching issues, not the cause, severity classification, or authorized correction.

07 Conversation answers

Controls, Audit, Compliance, Fraud, and Ethics

E Dialogue gaps

Pages 64-65

1. unmatched entries. Turn 2. Unmatched entries lack identified support or counterparts; a zero combined amount does not resolve each transaction.

2. reconciling item. Turn 4. A reconciling item is an identified difference requiring explanation; offsetting differences still need separate support and treatment.

3. control evidence. Turn 6. Control evidence records the checks performed and their scope, allowing the reviewer to assess the work rather than rely on an assertion.

4. exception log. Turn 8. The exception log preserves unresolved items, evidence, and status, preventing an unsuccessful search from becoming an unsupported final conclusion.

5. fraud finding. Turn 10. A fraud finding would assert deliberate wrongdoing; unmatched entries alone establish a review issue, not that conclusion.

6. corrective action. Turn 12. Corrective action addresses an identified problem; here neither cause nor authorized correction has been established.

7. sign-off. Turn 14. Sign-off records completion of a defined review or approval; unresolved support prevents treating this reconciliation as completed.

8. segregation of duties. Turn 16. Segregation of duties separates responsibilities, here preparation and review, to reduce the risk of unchecked error or misuse.

9. audit trail. Turn 18. The audit trail connects the original exception, investigation, decision, and approval so the resolution can be traced later.

10. status. Turn 20. Status reports the actual stage of work and authority, not the misleading appearance of completion created by a zero total.

F Transfer conversation

Page 66

1. amount

Preparer: "The equal amount does not establish a common transaction."

Identical dollar values can belong to different transactions and do not prove a valid match.

2. reference

Reviewer: "Check the payee and transaction reference."

Payee and reference information help identify the specific payment beyond a coincidental amount.

3. open

Preparer: "The unsupported item remains open."

The missing invoice and unapproved match leave the item unresolved.

4. evidence

Reviewer: "Do not clear it without sufficient evidence."

Clearing requires support for the actual transaction, not merely an equal value elsewhere.

08 Briefing and language checks

Valuation, M&A, Capital Allocation, and Executive Finance

A Briefing checks / page 67

1. Which input changes between the two stated scenarios?

C. Terminal growth, from 2% to 4%

The briefing holds the other model inputs constant and changes only the terminal-growth assumption.

2. What does the \$30 million figure represent?

B. Modeled enterprise value in the 4% terminal-growth case

The figure is a scenario output before the stated equity bridge, not a transaction or guarantee.

3. What is equity value in the higher case under the stated simplified bridge?

D. \$27 million

The case instructs deduction of \$3 million net debt from \$30 million enterprise value, with no other adjustments assumed.

D Language checks / page 72

1. Which revision most accurately presents the valuation?

A. Show both values with their growth assumptions and the unchanged discount rate.

Both conditional outputs and their differing assumption are needed to avoid selective presentation of the higher modeled value.

2. Which arithmetic follows the case's simplified equity bridge?

B. \$30 million minus \$3 million equals \$27 million.

The explicitly supplied bridge deducts net debt and assumes no other adjustments; it does not add debt or ignore it.

3. Which statement properly limits the scenario range?

A. It shows outcomes under stated assumptions, not a guaranteed pricing interval.

Model scenarios describe conditional outputs, not market commitments or quantified probabilities unless separately justified.

4. Which question tests a synergy claim?

C. What evidence, timing, cost, and dependencies support the modeled benefit?

A synergy estimate needs supported assumptions and implementation consequences rather than a confident label.

08 Conversation answers

Valuation, M&A, Capital Allocation, and Executive Finance

E Dialogue gaps

Pages 73-74

- 1. enterprise value.** Turn 2. Enterprise value concerns the operating business before the stated financing adjustments; it is not the equity figure or an approved bid.
- 2. discount rate.** Turn 4. The discount rate converts future cash flows to present value; holding it constant isolates the growth comparison.
- 3. sensitivity analysis.** Turn 6. Sensitivity analysis tests how outputs respond to changed inputs; it does not establish that the more favorable assumption will occur.
- 4. terminal growth.** Turn 8. Terminal growth is an assumed continuing-period rate; it needs support rather than selection solely to obtain a preferred valuation.
- 5. net debt.** Turn 10. Net debt is the specified debt less included cash measure; the case deducts \$3 million when moving from enterprise to equity value.
- 6. equity value.** Turn 12. Equity value is the amount attributable to equity holders after the specified adjustments, here under an expressly simplified bridge.
- 7. synergies.** Turn 14. Synergies are expected combination benefits; they are not realized cash flows and require support for costs, timing, and dependencies.
- 8. capital allocation.** Turn 16. Capital allocation compares uses of resources; a high valuation output alone does not establish that a transaction is the best use.
- 9. accretion.** Turn 18. Accretion increases a specified per-share metric; it does not by itself establish economic value creation.
- 10. due diligence.** Turn 20. Due diligence investigates transaction information; unfinished checks limit the recommendation and do not authorize a commitment.

F Transfer conversation

Page 75

1. bases

Analyst: "The headline rates use different calculation bases."

Different periods and cost inclusions prevent a reliable ranking from the headline rates alone.

2. costs

Director: "Align the periods and included costs before comparing."

Consistent cost treatment and time scope are needed to understand the relative modeled outcomes.

3. provisional

Analyst: "The ranking remains provisional until that review."

The underlying comparison is incomplete, so the ranking cannot be presented as a settled conclusion.

4. approval

Director: "A model result does not itself provide investment approval."

Analysis informs the decision; it does not replace the authorized investment approval process.

08

Find the move you need

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

01 Finance Communication: Drivers, Assumptions, Materiality, Risk

Lead with the contrast: Revenue is above budget, but operating profit is below it.

Quantify the result: Operating profit is \$196,000, which is \$4,000 below budget.

Close with a check: I will validate the drivers before changing the forward estimate.

Full phrase set: pages 7-8 | Dialogue: pages 10-11

02 Financial Statements, Close, and Accounting Judgments

Clarify the schedule: Are we showing expense recognition or the cash payment date?

Request support: Please provide evidence that the December service was completed.

Close the review: I will reconcile the existing balance before proposing an adjustment.

Full phrase set: pages 16-17 | Dialogue: pages 19-20

03 FP&A, Budgeting, Forecasting, and Variance Analysis

Lead with the outlook: Full-year spending is forecast at \$120,000 against a \$100,000 budget.

Separate actual and estimate: The total combines recorded actuals with a remaining-year estimate.

Close the update: The next review will identify the residual's source and any proposed action.

Full phrase set: pages 25-26 | Dialogue: pages 28-29

04 Treasury, Cash, Liquidity, Working Capital, and FX

Attach the condition: Closing cash is forecast at \$30,000 if the customer pays Friday.

Request confirmation: Please verify the payment status and expected settlement date.

Close with ownership: I will confirm the receipt status and route the funding options for approval.

Full phrase set: pages 34-35 | Dialogue: pages 37-38

Keep the conversation productive

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

05 Markets, Investments, Performance, and Client Communication

Label the result: The portfolio returned 6% before fees over the stated twelve months.

Check comparability: We need consistent period, currency, and calculation bases.

Close with review: I will verify the basis before the client version is approved.

Full phrase set: pages 43-44 | Dialogue: pages 46-47

06 Banking, Credit, Lending, and Counterparty Risk

Specify the request: Please obtain management accounts through 30 June.

State the requested time: We have requested delivery by Wednesday at 3 p.m. for preparation.

Close the request: Please confirm what can be supplied and flag any missing component.

Full phrase set: pages 52-53 | Dialogue: pages 55-56

07 Controls, Audit, Compliance, Fraud, and Ethics

State the open work: Three entries remain unmatched despite a zero net difference.

Preserve evidence: Bank references and the records checked are attached.

Close with status: Sign-off remains pending resolution and the required review.

Full phrase set: pages 61-62 | Dialogue: pages 64-65

08 Valuation, M&A, Capital Allocation, and Executive Finance

Present both cases: The model gives \$20 million at 2% terminal growth and \$30 million at 4%.

Avoid a price claim: These are modeled values, not offers or agreed transaction prices.

Close with evidence: We need support for the assumptions before recommending a decision.

Full phrase set: pages 70-71 | Dialogue: pages 73-74

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

account reconciliation	complete the account reconciliation	15
accounting estimate	document an accounting estimate	15
accounting policy	apply the approved accounting policy	15
accounts payable	reconcile accounts payable	14
accretion and dilution	distinguish EPS accretion from value creation	69
accrual	review the expense accrual	14
accrued liability	substantiate an accrued liability	14
actuals	load the latest actuals	23
aging	review the aging of open items	60
annualized return	explain an annualized return	41
asset allocation	explain asset-allocation effects	42
assumption	state the underlying assumption	6
attribution	review performance attribution	41
audit trail	preserve the audit trail	15
audited statements	inspect the audited statements	50
available cash	confirm available cash	32
balance sheet	reconcile a balance-sheet account	14
bank reconciliation	complete a bank reconciliation	59
base-case valuation	qualify the base-case valuation	69
baseline	lock the comparison baseline	23
basis point	express a movement in basis points	6
benchmark	select an appropriate benchmark	41
borrower	assess the borrower's position	50
bridge	reconcile the forecast bridge	23

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

budget retain the approved budget	23
capital allocation support capital-allocation decisions	69
capital expenditure forecast capital expenditure	69
capitalization assess capitalization criteria	15
cash buffer assess the required cash buffer	32
cash conversion cycle analyze the cash conversion cycle	33
cash flow statement explain the cash flow statement	14
cash forecast refresh the short-term cash forecast	32
cash inflow verify an expected cash inflow	32
cash outflow schedule the cash outflows	32
cash shortfall quantify the cash shortfall	32
collateral verify the collateral description	51
commitment distinguish commitments from actuals	24
comparable companies screen comparable companies	69
concentration risk assess customer concentration risk	51
contingency explain the contingency assumption	24
control deficiency assess a potential control deficiency	60
control evidence retain control evidence	59
control objective identify the control objective	59
control owner confirm the control owner	59
corrective action approve corrective action	60
cost allocation review the allocation basis	24
cost center verify the cost-center allocation	24
counterparty risk monitor counterparty risk	51

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

coupon distinguish coupon from yield	42
covenant test covenant compliance	33
credit committee prepare the credit-committee pack	50
credit exception seek approval for a credit exception	51
credit file complete the credit file	50
credit spread monitor credit-spread movement	42
cumulative return report cumulative return	41
cutoff test transaction cutoff	14
DCF review the DCF assumptions	68
debt schedule reconcile the debt schedule	50
debt service assess scheduled debt service	50
deferred revenue analyze deferred revenue	14
detective control perform a detective control	59
discount rate test the discount-rate assumption	68
DPO state the DPO calculation basis	33
drawdown obtain drawdown approval	33
drawdown assess maximum drawdown	42
driver isolate the main driver	5
DSCR specify the DSCR definition	50
DSO monitor DSO trends	33
due diligence complete financial due diligence	69
duration specify modified duration	42
enterprise value bridge enterprise value to equity value	68
equity value reconcile equity value	68

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

exception log	update the exception log	60
excess return	quantify historical excess return	41
exposure at default	calculate exposure at default	51
favorable	label a favorable variance	5
forecast	refresh the full-year forecast	23
forecast bias	examine forecast bias	24
FP&A	prepare an FP&A update	23
fraud indicator	escalate a fraud indicator	60
free cash flow	define the free-cash-flow measure	68
full year	present the full-year outlook	23
FX exposure	identify the FX exposure	33
general ledger	inspect the general ledger	15
gross profit	distinguish gross from operating profit	5
gross return	label gross return	41
guarantor	assess the guarantor's capacity	51
headroom	quantify covenant headroom	33
hedge	evaluate a proposed hedge	33
hurdle rate	confirm the hurdle rate	69
income statement	review the income statement	14
interim period	identify the interim reporting period	50
internal control	assess an internal control	59
IRR	compare IRR with the stated hurdle	69
journal entry	approve a journal entry	15
lender	clarify the lender's requirements	50

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

leverage ratio	verify the leverage-ratio basis	50
like-for-like	establish a like-for-like comparison	6
liquidity	assess the liquidity position	32
loss given default	evaluate loss given default	51
LTV	assess the LTV ratio	51
maker-checker	follow the maker-checker procedure	59
management accounts	request current management accounts	50
management commentary	sharpen management commentary	6
material weakness	refer a material-weakness assessment	60
materiality	assess quantitative and qualitative materiality	6
maturity	identify the maturity date	42
maturity profile	review the maturity profile	51
misstatement	assess a possible misstatement	60
mix effect	analyze the product-mix effect	6
money-weighted return	explain money-weighted return	41
net debt	verify the net-debt definition	68
net income	reconcile net income	5
net return	verify the net-return basis	41
NPV	evaluate project NPV	69
offset	quantify the cost offset	5
one-off	challenge a one-off classification	6
operating cost	analyze operating costs	5
operating margin	explain operating-margin movement	6
operating profit	explain operating profit	5

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

payables review scheduled payables	32
percentage point report a percentage-point change	6
period-end close complete the period-end close	14
phasing revise monthly phasing	24
plug avoid an unsupported plug	24
portfolio review portfolio performance	41
posting date verify the posting date	15
precedent transactions analyze precedent transactions	69
prepayment release a prepayment to expense	14
present value calculate present value	68
preventive control evaluate a preventive control	59
price effect separate the price effect	5
price return distinguish price return from total return	41
probability of default state the probability-of-default horizon	51
professional skepticism apply professional skepticism	60
purchase order check the purchase-order amount	24
rate effect separate rate from volume	6
realized gain report realized gains	42
receivables monitor overdue receivables	32
recognition assess expense recognition	14
reconciling item resolve a reconciling item	59
recurring identify recurring costs	6
refinancing risk assess refinancing risk	51
reforecast explain the reforecast changes	23

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

remaining-year estimate update the remaining-year estimate	23
remediation track remediation progress	60
reporting period identify the reporting period	14
residual investigate the unexplained residual	24
restricted cash separate restricted cash	32
revenue report recognized revenue	5
reversing entry check the reversing entry	15
revolving credit facility verify revolver availability	33
rolling forecast maintain a rolling forecast	23
root-cause analysis document the root-cause analysis	60
run rate qualify the implied run rate	6
scenario compare downside and base scenarios	24
security interest review the security-interest documentation	51
security selection assess security-selection contribution	42
segregation of duties maintain segregation of duties	59
sensitivity analysis present sensitivity analysis	69
settlement date confirm the settlement date	33
sign-off withhold sign-off pending resolution	60
structural variance assess a structural variance	24
subledger reconcile the subledger	15
supporting schedule maintain the supporting schedule	15
suspense account clear supported suspense-account items	59
synergy challenge the synergy estimate	69
terminal growth justify the terminal-growth assumption	68

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

terminal value	test the terminal-value contribution	68
time-weighted return	calculate time-weighted return	41
timing variance	isolate a timing variance	24
total return	compare total-return measures	41
tracking error	measure tracking error	42
treasury	prepare a treasury update	32
true-up	calculate the required true-up	15
underwriting	support the underwriting review	50
undrawn availability	confirm undrawn availability	33
unfavorable	explain an unfavorable variance	5
unmatched entry	investigate an unmatched entry	59
unrealized gain	distinguish unrealized from realized gain	42
valuation	explain the valuation basis	68
valuation multiple	compare valuation multiples	68
value date	check the payment value date	33
variance	explain a budget variance	5
volatility	state the volatility measure	42
volume effect	estimate the volume effect	5
WACC	assess the WACC input	68
waterfall	label the waterfall clearly	23
whistleblowing channel	identify the reporting channel	60
working capital	define the working-capital measure	32
year to date	reconcile year-to-date spending	23
yield	specify the yield measure	42

Original cases. Clear boundaries.

These are original fictional teaching conversations, not transcripts of real workers. Names, figures, organizations, and incidents are invented. Sources support terminology and communication aims, not the fictional results or an endorsement of this book.

[1] US Securities and Exchange Commission. Beginners' Guide to Financial Statement.

[Open the original source](#)

Background for distinguishing financial statements, profit, cash flow, and explanatory notes. Teaching cases and calculations are original. Checked 30 September 2026.

[2] Investor.gov. Investing glossary.

[Open the original source](#)

Reference point for investment nomenclature. Simplified definitions in this book do not replace product terms or professional analysis. Checked 30 September 2026.

[3] Public Company Accounting Oversight Board. AS 2201.

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Background for US public-company internal-control audit terminology. Its scope is not assumed to cover every organization or jurisdiction. Checked 30 September 2026.

[4] Investor.gov. Bonds: frequently asked questions.

[Open the original source](#)

Background for bond and risk terminology. No example is an investment recommendation or return forecast. Checked 30 September 2026.

Phil Stilwell

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